

QUALITY IS NOT EXPENSIVE, IT IS PRICELESS.



2015

ANNUAL REPORT

AND FINANCIAL STATEMENTS

ARM CEMENT LTD

HOW STRONG IS YOUR BUILDING?



**SUPER STRENGTH RHINO
RX3, RX4 AND RX5**



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NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE is hereby given that the 2016 Annual General Meeting will be held at Laico Regency Hotel, Nairobi on Thursday, 30th June 2016 at 10.00 a.m.

AGENDA

Ordinary Business

1. To read the Notice convening the meeting.
2. To approve the minutes of the previous Annual General Meeting held on 30th July 2015.
3. To receive the Balance Sheet and Accounts for the year ended 31st December 2015 together with the Reports thereon of the Directors and Auditors.
4. To approve the Directors Remuneration as provided in the accounts for the year ended 31st December 2015.
5. To note that no dividend is recommended for the year ended 31st December 2015.
6. To re-elect Directors:
 - 6.1 Mr. Andrew Alli retires from the Board under the provisions of Article 95 of the Articles of Association and being eligible, offers himself for re-election.
 - 6.2 Mr. Wilfred Murungi retires from the Board under the provisions of Article 95 of the Articles of Association and being eligible, offers himself for re-election.
7. To note that Deloitte & Touche continue in office as auditors in accordance with the provisions of Sec.159 (2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing financial year.

By Order of the Board

R.R. Vora
Secretary

Date: 29th April 2016

Note: A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not also be a member.

PROXY FORM

I/we

Of

being a member/s of ARM Cement Limited, hereby appoint:

.....

of

or failing him/her

of

as my/our proxy to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on 30th June 2016 and at any adjournment thereof

Number of Shares held

Account number of member

As witness my/our hand this day of2016

Signature.....

Important notes

1. A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not also be a member.
2. In case of a member being a corporation, this form must be completed either under its common seal, or under the the hand of an offer or authorized attorney.
3. To be valid, the proxy form must be completed either under its common seal, or under the hand of an offer or duly authorized attorney.
4. If you wish, you may appoint the Chairman of the meeting as your proxy.

tear along the line



To the Secretary

ARM CEMENT LIMITED

P.O. Box 41908 - 00100
NAIROBI, KENYA

CORPORATE INFORMATION

Directors

Mr R M Ashley*	-	Chairman
Mr P H Paunrana	-	Group Managing Director
Mr S L Bhatia **	-	Deputy Managing Director
Mr A Mathur**	-	Finance Director
Mr W Murungi		
Mr D M Ndonge		
Mr M Turner*		
Mr A Ali***		
Mr L Mususa****		

(* British | ** Indian | *** Nigerian | ****Tanzanian)

Audit and Risk Committee

Mr D M Ndonge	-	Chairman
Mr R M Ashley		
Mr W Murungi		

Strategy and Investments Committee

Mr R M Ashley	-	Chairman
Mr P H Paunrana		
Mr S L Bhatia		
Mr A Mathur		
Mr M Turner		
Mr A Ali		

HR Nomination and Remuneration committee

Mr W Murungi	-	Chairman
Mr M Turner		
Mr D M Ndonge		

Secretary

Mr R R Vora
 Certified Public Secretary (Kenya)
 Unit 4, Ground Floor, Delta Riverside
 P O Box 48405 - 00100
 Nairobi

Registered office

Rhino House, Chiromo Road
 Westlands
 P O Box 41908 - 00100
 Nairobi

Auditors

Deloitte & Touche
 Certified Public Accountants (Kenya)
 Deloitte Place, Waiyaki Way, Muthangari
 P O Box 40092 - 00100
 Nairobi

Bankers

Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661 - 00100
Nairobi

Bank of Africa Kenya Limited
Reinsurance Plaza, Taifa Road
P O Box 69562 - 00400
Nairobi

Citi Bank NA
Citibank House, Upper Hill Road
P O Box 30711 - 00100
Nairobi

CfC Stanbic Bank Limited
Kenyatta Avenue Branch
P O Box 30550 - 00100
Nairobi

Lawyers

Coulson Harney Advocates
ICEA Lion Centre, Westwing
Riverside Park, Chiromo Road
PO Box 10643 - 00100
Nairobi



CHAIRMAN'S STATEMENT



RICK ASHLEY
CHAIRMAN,

It is my pleasure to present to you the Annual Report and Financial Statements of The Group for the year ended 31st December 2015 and my statement thereon.

I will focus particularly on our Strategy, governance and policy achievements in the context of the operating environment we faced in 2015. However, I will also include developments during 2016 notably the proposed investment by CDC which you will be asked to endorse at an EGM.

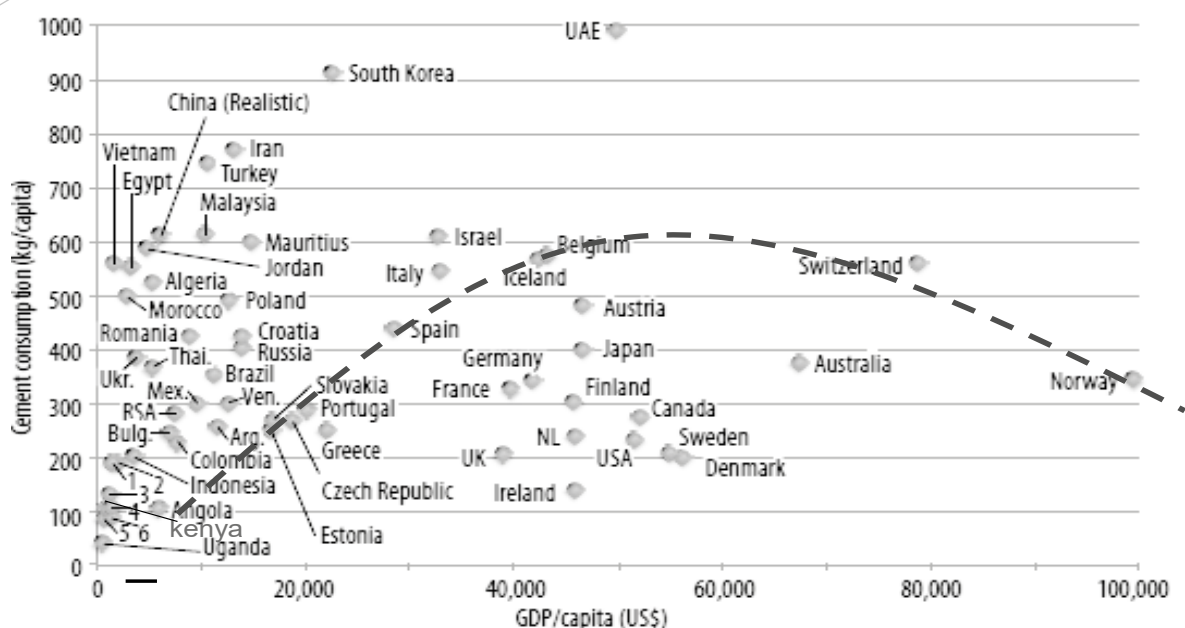
Economic & Business Review

2015 was a challenging year for economies in the East African region. Though economic growth continued, there were rapid changes in macroeconomic factors, particularly in the economies of Kenya and Tanzania where the Group has its main operating plants. Notably, exchange rate, depreciation and the rise in interest rates presented challenges to the business environment and, in particular, to your Company.

Regional Cement Markets Per capita cement consumption in Kenya is around 85 kgs and in Tanzania is around 65 kgs indicating that both countries remain at the beginning of the cement consumption curve. Further, the populations are growing at around 2.5% per year and Gross Capital formation continues at around 20% per year with investments in roads and infrastructure, thus the demand for cement will grow rapidly for many years to come.

CHAIRMAN'S STATEMENT

East Africa per capita cement consumption has a long way to grow.....



During 2015, the cement markets continued to grow strongly in both Kenya and Tanzania driven by the increased Government investment in the infrastructure segment and increased housing sector demand. The demand for cement in both the countries continues to be robust and we believe that over the next 5 years the cement demand in the region is set to more than double.

Commissioning of the Tanga Clinker Plant

You will recall that in last year's report I gave prominence to the completion of our new capacity in Tanga, Tanzania.

Though, as reported, the commissioning was completed during the first quarter of 2015, the power situation in Tanzania has remained problematic and has impacted adversely on the ability of your Company to operate at commercial production levels. Management continue to work with Tanesco to try and establish a robust consistent supply.

Our significant investment in this capacity remains core to our strategy to be self-sufficient in clinker production in the region.

Kenya

Though the Economy in Kenya grew by 5.6 % in 2015, the currency devalued by over 15%. This devaluation combined with a spike in the interest rates to their highest levels since the year 2000. The interest rates added to the finance costs of the company and the devaluation created addition burden, albeit on an unrealised basis, on the company's dollar based loans.

The company operated its plants in Kenya to capacity; the quality of power was still affected by transmission frailties. Changing weather patterns and the El Nino rains in the last quarter of 2015 also had a dampening effect on the construction sector though it grew by 13.6% (source Economic Survey).

CHAIRMAN'S STATEMENT

The competitive landscape in Kenya did not change significantly but the prices for cement did weaken during the year on competitive pressures.

Overall cement demand was up 9.9% in 2015. The market segments for cement saw a shift with demand for higher strength cement and ready mix concrete noticeable. This move to higher strength cement was anticipated as the construction segment shifted from multi storeyed construction to high-rise construction and increased government spending in the infrastructural segment. Your Company has strengthened its offering in this segment.

However despite challenging economic conditions the company did perform well in Kenya with the cement registering a significant increase in turnover.

The use of our own clinker from Tanga did enable the Company to improve its margins despite the price weakness.

The Government did start charging a new mining levy on every bag of cement produced which slightly increased the cost of production. The other cost factors including energy costs remained stable. The benefit of lower global energy prices did not translate into a significant cost advantage for the company as the sharp depreciation in Kenyan currency nullified the gains of lower global energy prices.

Tanzania

Tanzania witnessed GDP growth of over 6%. However the local Tanzania currency devalued by over 20%. Despite the GDP growing by over 6 % the fastest in the East African region and the demand for cement growing by over 10%, the company's performance was severely constrained by the power situation in Tanzania.

The Tanga plant clinker production was constrained due to the power availability in the grid and for most part of the year the power availability was limited to less than 50% of the required power. The quality of power in terms of power dips deteriorated and this occasioned frequent stops and starts of the plant in Tanga. These both restricted the production at the plant and caused additional operational costs.

The market segments and the customer profile remained constant. Government's investment into the roads and infrastructure strengthened the cement demand in Tanzania. The competition landscape did change with a new player coming into the market with imported cement towards the end of 2015.

The company's margin did grow as the company started producing clinker at the Tanga plant and replaced the earlier used imported clinker with locally produced clinker. The clinker produced at Tanga was also sold to the other cement companies operating in Tanzania, exported to Kenya, Burundi, Rwanda and DRC. The potential opportunities with the largest clinker plant in the region are enormous and the Board feels confident that Tanga clinker plant will create significant value for the company and the shareholders once it is operating to capacity.

CHAIRMAN'S STATEMENT

The interest rates in Tanzania while remaining stable were still significantly high as compared to the international or regional benchmarks.

The Tanzanian currency also depreciated in comparison to the Kenyan currency which increased the company's unrealised exchange losses. This resulted in further unrealised exchange losses on the conversion of the Group's substantial assets in Tanzania in our Group reporting currency.

Non Cement Divisions

All non-cement businesses saw growth in 2015, with a marked growth in the Mavuno fertilizer business. The Mavuno fertilizer business grew by over 300% with the company supplying Mavuno fertilizer to the National Government's fertilizer subsidy program, and supplying Mavuno fertilizer to several counties. Mavuno fertilizer has established itself as a superior brand which enhances crop yields. The company continues to partner with research institutes, conduct trial demonstration plots and research soil conditions to develop soil specific crop specific fertilizers. The company believes and the trials have demonstrated that crop specific soil specific fertilizers is the way forward for bringing food security to Kenya and the region. The performance of Mavuno fertilizers in terms of increased yields has been noteworthy with every region and county where Mavuno fertilizer was used reporting over 30% increase in yields. The performance of Mavuno fertilizers coupled with grass root level training being conducted by Mavuno field officers has established Mavuno fertilizer as a preferred brand with the farmers in Kenya. All the Non cement divisions are operating to capacity with no major new investment being made in the last 5 years in these businesses. These divisions need investment to grow capacity and markets and the Board is looking at several strategic alternatives including bringing in new capital in these businesses to support the growth of these business areas.

Environment, Safety and Governance

CDC will work closely with ARM to improve standards in areas such as energy efficiency, health and safety and its engagement with local communities, in particular supporting the company's excellent provision of health, education and environmental services to local communities through the Rhino Cement Foundation. CDC will also support the company's move to membership of the World Business Council's Cement Sustainability Initiative – a first for an African cement manufacturer. This will result in reduced energy costs, lower greenhouse gas and dust emissions and improved water conservation and recycling.

Ethical Business and Anti- Corruption Policy

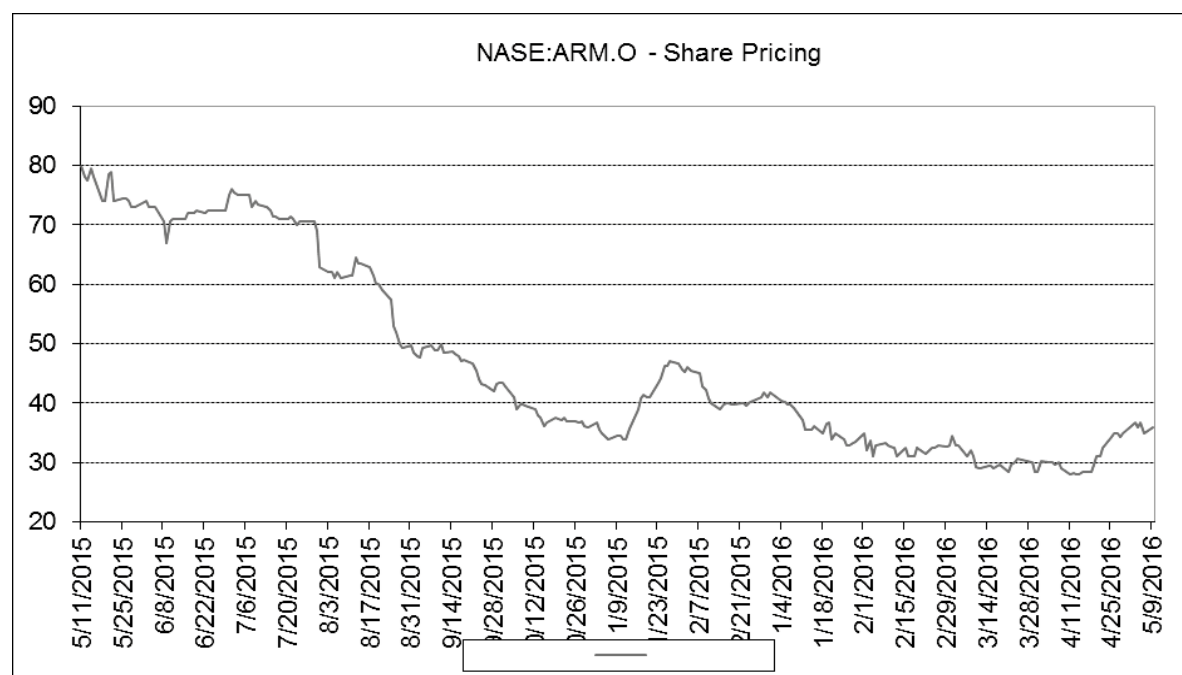
We are pleased to mention that your company was amongst the first Kenyan companies to sign the Global Compact declaration, which commits companies to establishing the highest levels of anti-corruption and bribery practices in the company. The Board and the company stand committed to observing the best practices in the company. The ethics policy is based on four pillars which are as under

CHAIRMAN'S STATEMENT

1. Conducting business in an honest and ethical manner.
2. Zero tolerance to bribery and corruption
3. Acting fairly and with Integrity in all our business dealings
4. Enforcing effective systems to counter bribery.

The company is also undertaking a policy review to ensure all practices are fully aligned with international best practise and the revised governance and ethics policy statement will be signed by employees at all levels. The company has also started identifying areas which could create potential risk for the company and to develop mechanisms to address these risks. The company will undertake training programs to effectively implement the ethics policy throughout the company and to all our business partners. The company has also developed a 'straight information' policy which will allow staff to directly communicate confidentially to the Board and/or the MD, any areas of non-compliance with the Ethics policy.

Shareholder Value and Share Performance



The Company's share price was adversely affected by the interest charges and the unrealised exchange losses reported during 2015

Funding

The Group has grown rapidly in the last 10 years.

During the period 2005 – 2015, the company's turnover grew 7 times from KES 2.2 billion to KES 14.7 billion, EBITDA grew 8 times from KES 410 million to KES 3.4 billion and the market cap grew nearly 6 times from KES 3.7 billion to KES 17.5 billion. This growth in market cap was despite the marked fall in the company's share price by more than 50% in 2015. These make your company one of the best performing companies in the region in the last 10 years.

CHAIRMAN'S STATEMENT

During this period the company has grown to five world class cement plants with modern state of the art technology. These investments into new capacity drove the growth of the company and are fundamental to our strategy. The company had used debt to fund the new capacity.

The financial and banking sector did see some major changes in the last quarter of 2015. The fall of some players in the banking sector did have a major impact on the debt markets. The debt markets weakened and the risk associated increased. Consequently due to the weakness in the debt markets the company's bond issue which came out in November end did not perform to expectation despite having a strong credit rating

The change in macroeconomic factors, sharp depreciation of regional currency, high interest rates and pressure in the debt capital markets required the company to look at new strategy to reduce debt, reduce interest burden and strengthen the balance sheet.

The Board looked at all the available options and the associated costs and decided that Equity was the best option to reduce the impact of realised/ unrealised exchange losses, reduce interest burden and rationalise the debt to equity structure.

CDC Investment

The company engaged with CDC in early 2015 and the Board is pleased to confirm that the Company has reached an agreement with CDC who will invest \$ 140 million into the company for 40.66 % shares in the company. This investment will strengthen the company balance sheet, reduce the interest burden and generate free cash flow which can again be applied to growing the company and its capacity.

CDC is a development finance institution and they will be supporting the existing management under the Leadership of the MD Mr. Pradeep Paurana to build the company into a regional cement company. CDC has the vision to develop ARM as a regional cement company which will create a strong development impact in terms of skills development, human resources development, employment opportunities, social and community development, increase the industrial base in the region and contribute to the overall economic growth of the region.

The investment by CDC, the UK government-owned development finance institution of US\$140m will be used to retire some of ARM's debt and strengthen its balance sheet. CDC will support ARM to be a regional cement industry leader with world class operating and environmental standards that is focused on creating shareholder value.

CDC's Managing Director, Equity Investments, Mark Pay added ***"The Company has demonstrated strategic leadership in cement, a robust management team and the highest level of ethics and community values. We are proud to back a founder-led frontrunner in East African manufacturing. CDC's investment in ARM Cement can provide the building blocks for the growth of infrastructure and housing in East Africa. This investment will strengthen a company making a difference to the local economy, bringing jobs and lower cost raw materials to a region traditionally dependent on imports."***

CHAIRMAN'S STATEMENT

ARM has the potential to become one of sub-Saharan Africa's most successful companies, providing a platform to expand into neighbouring countries while bringing world-class environmental standards and highly efficient plant – an approach that is central to CDC's investment strategy".

The proceeds of all subscriptions by CDC under this Agreement will be applied by the Company towards repayment of outstanding debt of the Group, funding approved capital expenditure by the Group and working capital finance.

Your Board considers that the Investment will contribute significantly towards enabling the Company to achieve its objectives, as described above, and that it is in the best long-term interests of the Company and its shareholders to bring CDC in as a shareholder and through this to benefit from the skills and expertise of CDC. Accordingly, the Directors unanimously recommend all shareholders to vote in favour of the resolutions to be proposed at the EGM, as they intend to do in respect of their own beneficial holdings of ordinary shares and/or the beneficial shareholdings of the entities they represent on the Board.

Outlook

The approval of the CDC investment will conclude the balance sheet restructure. This provides a concrete foundation for the business and we expect the company to be well capitalised in terms of both equity and working capital to grow the business.

In Kenya the cement markets continue to grow at over 10% pa. The company is operating to full capacity and, this year, the company is focussed on achieving operational efficiencies to reduce costs and line balancing to expand capacity. The company hopes to grow the business in Kenya in all the segments including cement and non-cement segments. The availability of clinker from Tanga is likely to improve margins and profitability of the Kenyan operations

In Tanzania the company is focussed on increasing capacity utilisation at both the Dar cement grinding plant and the Tanga clinker plant. The strategy continues to be a cost effective clinker manufacture across the region.

Completion of the CDC Investment will enable the Company to deliver further robust growth, improved profitability and increased shareholder value with higher efficiency and improved capacity utilisation at all plants.

I also take this opportunity to thank the management and all our employees for their unstinting efforts during the difficult operating conditions and their unwavering commitment to the vision of the company.

I also acknowledge the guidance and support of my colleagues on the Boards in Kenya and in Tanzania. Their wise counsel remains fundamental to your company's progress

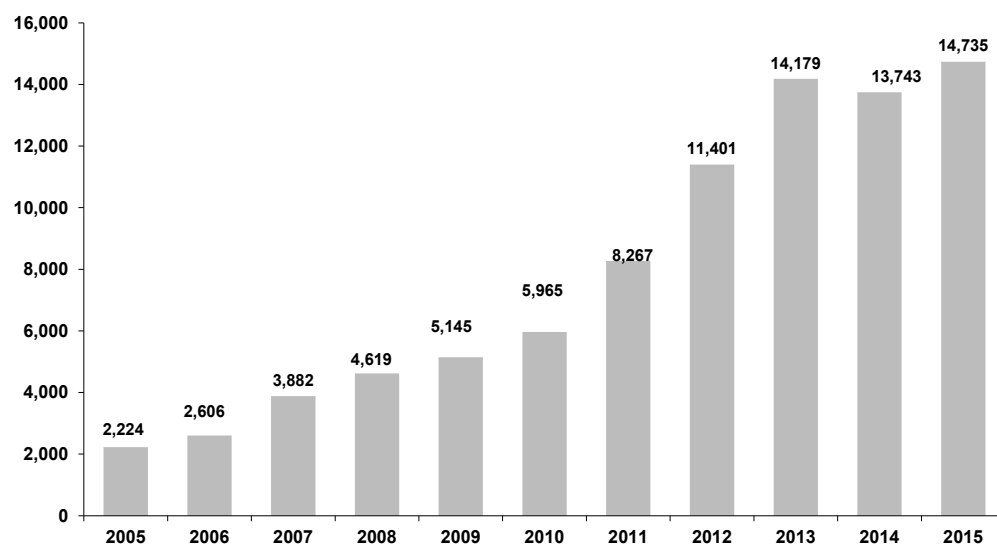
Sincerely,

Rick Ashley

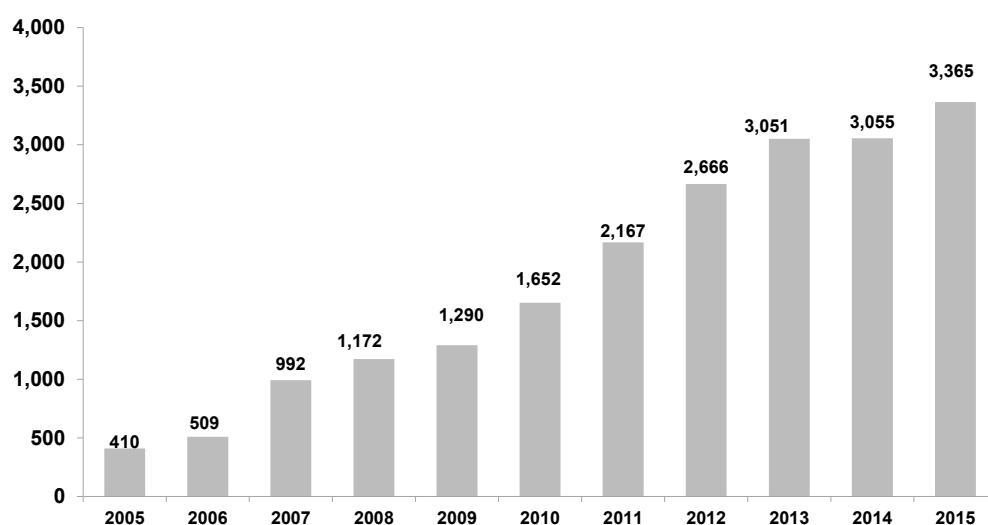


FINANCIAL HIGHLIGHTS

HISTORICAL PERFORMANCE - TURNOVER KES M



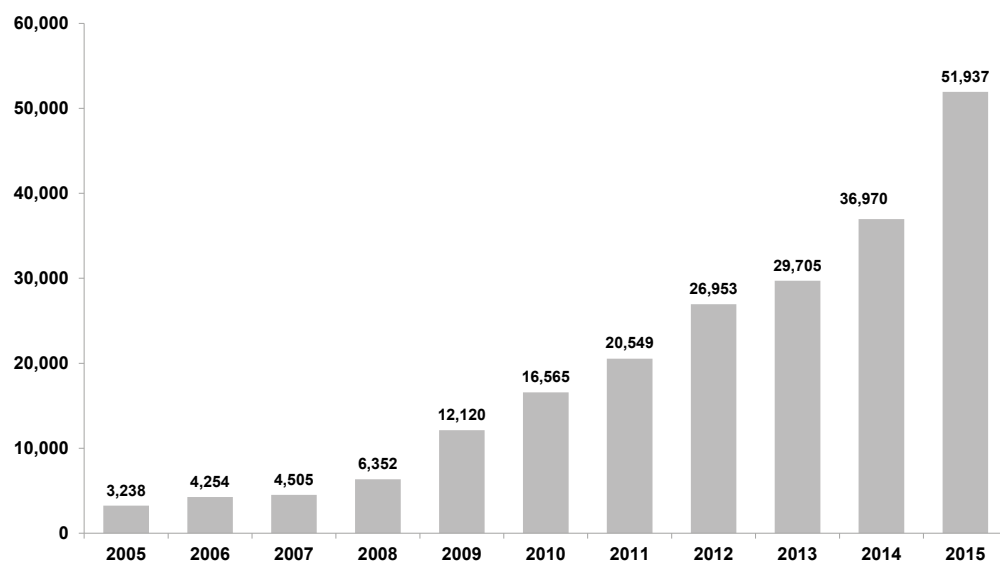
HISTORICAL PERFORMANCE - EBITDA KES M



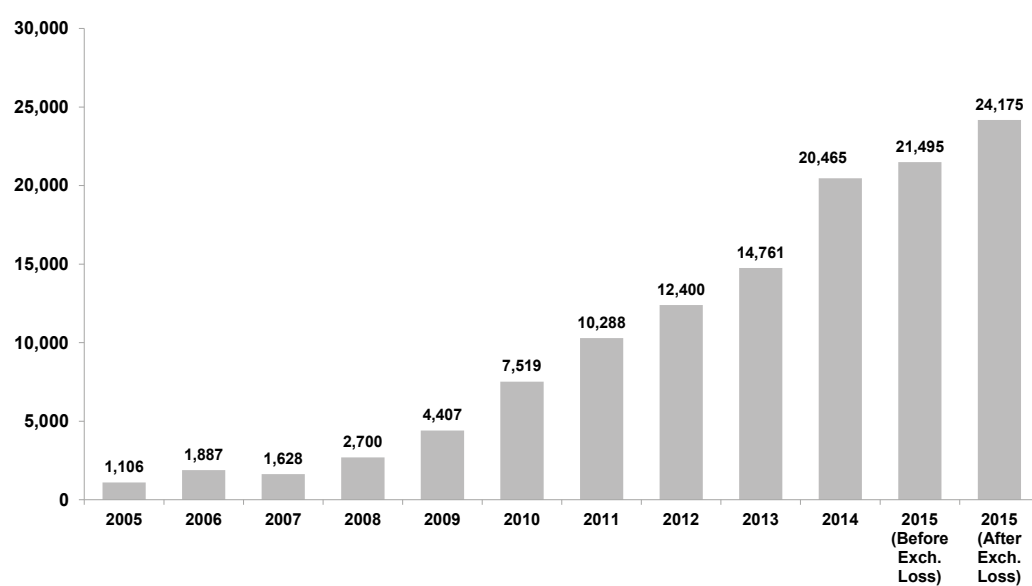
*EBITDA: Earnings Before Interest, Tax, Depreciation and Amortisation

FINANCIAL HIGHLIGHTS

HISTORICAL PERFORMANCE - TOTAL ASSETS KES M



HISTORICAL PERFORMANCE – GROUP NET DEBT KES M





DIRECTORS

RICK ASHLEY

BOARD CHAIRMAN AND ADVISOR
TO EXECUTIVE MANAGEMENT

Rick Ashley has over 30 years' experience in senior roles in African businesses. He is a former Managing Director of Old Mutual Asset Management. Previously, he was the Managing Director of Kestrel Capital. Rick has also previously worked for Peat Marwick in the Cayman Islands, Arthur Anderson & Co. and Prudential Corporation PLC in London. He serves in the board of various other companies including Apollo Investments Ltd and its subsidiaries APA Insurance, APA Life Assurance and Apollo Asset Management. Other groups where he is a director comprise Jumo World Ltd, Lagoon Development Company Limited, and Schutter Energy Limited. Rick was the founding chairman of Fund Managers Association of Kenya and previously served as a member of Market Leaders forum for Central bank of Kenya.



PRADEEP PAUNRANA

MANAGING DIRECTOR

Pradeep H Paurana joined Athi River Mining Ltd in 1984 after graduating with an MBA from New York University Stern School of Business. Pradeep was able to combine his business education with the entrepreneurial passion and energy of his late father in growing the Company. Over the years, Pradeep built a team of professionals with a deep culture of transparency, diligence, and innovation to execute the vision of transforming ARM, a small producer of agricultural lime into a major publicly listed cement company. He is chairman of Kenya Association of Manufacturers, a Trustee of the Tree Biotechnology Trust, Chairman Nairobi Greenline Trust, and member of several charitable organizations.



DIRECTORS

SURENDRA BHATIA

DEPUTY MANAGING DIRECTOR

Surendra Bhatia holds a degree in electrical engineering and a Masters Degree in Management Studies (MMS) from the prestigious Bombay University. A University rank holder throughout engineering college, he also graduated at the top of his Masters Degree class at Bombay University. He has attended executive education program in Leadership at the Harvard Business School. Surendra Bhatia started his management career with TATA Group, India's largest manufacturing Group, and subsequently developed his professional career with the Bhawan Group in the Middle East and Africa. As Deputy Managing Director, Surendra Bhatia shares a major responsibility with the Managing Director in articulating and delivering the Company's strategic plans, and growing long term shareholder value.



ATUL MATHUR

FINANCE DIRECTOR

Mr Atul Mathur is a Chartered Accountant from the Institute of Chartered Accountants of India. He has over 31 years experience in various Senior Management Capacities. Prior to joining ARM as the Group Chief Financial Officer in 2005, he had worked for 13 years with the largest flexible packaging group in India. He had also worked with a leading Construction group in India for about 11 years. He specializes in Project Financing, Development & Implementation of Systems & Controls, Budgeting & Forecasting and Working Capital Management.



DIRECTORS

DANIEL NDONYE

NON EXECUTIVE DIRECTOR

Daniel Ndonge was a Managing Partner at Deloitte & Touche Kenya having been with Deloitte & Touche for over 30 years. He is a fellow of the Institute of Chartered Accountants in England and Wales and a fellow of the Insititue of Certified Public Accountants of Kenya. He is a member of the CMA Appeals Tribunal. A board member of Kenoll/Kobil Ltd, AccessKenya Ltd, Apollo Investments Ltd, APA Insurance Ltd and United States International University.



MICHAEL TURNER

NON EXECUTIVE DIRECTOR

Michael is the Managing Director of Actis in East Africa and is responsible for Acti's \$300m Private Equity, Energy and Real Estate investments in East Africa. Prior to this, Michael was the manager of the Actis Africa Agribusiness Fund and the founder manager of the first SME PE fund in East Africa-the Acacia Fund.

Based in Nairobi, Kenya, Michael is an experienced private equity investor and has developed a deep understanding of PE investment in agribusiness, financial services, real estate and infrastructure throughout Sub Saharan Africa.

Prior to joining Actis, Michael worked in investment banking in London, for Lehman Brothers and Kleinwort Benson, having started his career with Price Waterhouse. He holds a number of Directorships including I&M Holdings Limited and Nairobi Securities Exchange.

Michael holds a first class degree in Civil Engineering and is also a Fellow of the Institute of Chartered Accountants in England & Wales.



DIRECTORS

WILFRED MURUNGI

NON EXECUTIVE DIRECTOR

Wilfred Murungi is a qualified electrical engineer. In 1985 he started his own company Mastermind Tobacco. Wilfred Murungi serves on the Boards of Athi River Power Company Limited, Greenlands Agro producers Limited, NGM Company Limited, Continental Tobacco Group of Companies in Malawi, Uganda, Tanzania and Sudan, Nanyuki Ranching Limited, Ozzbeco Breweries (K) Ltd, Remu Limited (Microfinance Bank), Mitithiru Limited and Tobacco Commodities) Inc.



ANDREW ALLI

NON EXECUTIVE DIRECTOR

As CEO of Africa Finance Corporation, Andrew is responsible for the overall strategy and operations of the Corporation. The Executive Management under his leadership has undertaken over US\$3.2 billion in investments across Africa, financing high impact projects like a West African submarine Cable, a commercial wind farm in Cape Verde, a toll road in South Africa, a greenfield power plant in Ghana and a flagship road infrastructure project in Cote d'Ivoire. Until his appointment as the Chief Executive Officer, Africa Finance Corporation in November 2008, Andrew was the Deputy Chief Executive Officer of Travant Capital, a private equity fund. Prior to that, he was with the International Finance Corporation ("IFC"), the private sector financing arm of the World Bank Group in Washington as an investment officer working first in the Oil, Gas and Mining Department and then in the Telecommunications Department. In 2002 he was appointed IFC's Country Manager for Nigeria, responsible for managing IFC's operations in the country. In 2006, he was appointed Country Manager for Southern Africa, where he was responsible for South Africa and seven other countries.



DIRECTORS

RAMESH VORA

COMPANY SECRETARY

Ramesh Vora is a Member of the Institute of Chartered Secretaries and Administrators of England and a Fellow of the Institute of Certified Public Secretaries of Kenya. He is a Practicing Company Secretary with a client base of over 150 companies ranging from public companies to multinationals and other local companies.

He has been the Company Secretary for ARM since 1994 and a Trustee for Rhino Cement Foundation. Mr. Vora also serves as the Company Secretary for Group Subsidiary Companies ARM (Tanzania) Limited and Maweni Limestone Limited.



LEORNAD MUSUSA

CHAIRMAN, Maweni Limestone Limited
NON EXECUTIVE DIRECTOR, ARM Cement Limited

Mr Leonard Mususa is a Fellow of the Association of Chartered Certified Accountants (UK) and a Fellow Certified Public Accountant (Tanzania).

He was the Country Senior Partner of Pricewaterhouse Coopers in Tanzania until his retirement in June 2014. He has served as Regional Head of Risk and Quality of the PwC Assurance business covering 9 countries, as well as the overall Head of Risk and Quality of 6 countries comprising the East African Market area. He was appointed a non-executive director in July 2014 and is Chairman of Maweni Limestone Limited and ARM Tanzania Limited, Tanzanian subsidiaries of ARM Cement Limited.

He also holds board memberships in a number of companies including Nation Media Group Limited, National Microfinance Bank Plc (in Tanzania), Tanzania Breweries Limited and Reliance Insurance Company (Tanzania) Limited.



DIRECTORS

SHAKIR MERALI

NON EXECUTIVE DIRECTOR
Maweni Limestone Limited

Managing Director at Abraaj, where he oversees a number of investments in East Africa and also manages the Group's Africa Health Fund, an innovative impact investment initiative aimed at improving the quality of health services for low-income populations across the continent. Prior to this, Shakir was a Director at Geocapital Partners in London, a Strategy consultant at the Monitor Group. Shakir completed his Bachelors in Accounting and Finance at the London School of Economics and Political Science. He completed his Masters in Information Systems from the London School of Economics and Political Science where he graduated with distinction.



BEN MOSHI

NON EXECUTIVE DIRECTOR
Maweni Limestone Limited

Dr Ben Moshi is an experienced Civil servant, has served for over 25 years in the Government of Tanzania as Permanent Secretary - Ministry of Water Energy and Mineral, Permanent Secretary – Ministry of Tourism Natural Resources and Environment as well as Permanent Secretary – Ministry of Agriculture and Co-operatives. He is the former Chairman of Williamson Diamonds Limited and National Milling Corporation and served on the Board of Directors of Kilimanjaro Gemstones Limited, Minjingu Phosphates Limited, Lake Victoria Environment Management Council. He is also a Director of Selous Farming Limited.





RHINO
CEMENT
FOUNDATION

HEALTH EDUCATION ENVIRONMENT

RHINO CEMENT FOUNDATION

ARM Cement champions the Rhino Cement Foundation through its employees, social investments in health, education and environment by providing a lasting difference to people's lives in the communities of our operation and the country at large.

2015 has been a year of great strides for the Rhino Cement Foundation which I am pleased to share in this report. The Foundation is funded by ARM Cement and supported by the Company's business partners, employees, other well-wishers and some of our investors as well. The Foundation is run by the Company staff volunteering their time and I wish to commend every one for the time and energy they devote to the work of the Foundation in improving the livelihoods of our fellow community members.

We are proud to report that our social investments in our three pillars: Health, Education, and Environment, have had a sustainable positive impact on the social and economic well-being of the communities in which we operate.

With an allocation of KES 20 million during the year 2015, the Foundation made investments in its three Pillars namely: Education, Health and Environment



TITUS MBATHI
CHAIRMAN, RHINO CEMENT FOUNDATION

EDUCATION

Under education pillar, Rhino cement foundation carries out long term projects in support of educational institutions neighboring our plants.

The Foundation also offers University and High school scholarships to the less privileged and orphaned in the society. In the year 2015, twenty six Rhino Cement Foundation sponsored students sat for their Kenya Certificate of Secondary Education (KCSE) in different schools in the country. All have qualified to join universities in 2016. The Foundation continues to support these students as they advance their education in universities and other higher learning institutions. As at the end of year 2015, the Foundation had 99 students in High School and 44 in various universities.

STUDENTS' TESTIMONIES:

"Growing up in a less privileged community has not only offered financial and academic challenges, but has also helped me realize the value of a college education. Thanks to your generous support I have now fulfilled my dream of being a civil engineer. Having finished my course on Dec 22nd 2015 and graduating on June 30th 2016 I know lots of challenges are ahead of me. My promise to you is that all the resources you have put in to make my studies a success will not be in vain as I will put all effort in my capacity for the success of my community"

Abdighafar Hussein, Jomo Kenyatta University of Agriculture and Technology, School of Civil Engineering
Rhino Cement Foundation Scholar

“ I lived in desperation but RCF was a light at the end of the tunnel for me.”

“ I lived in desperation but RCF was a light at the end of the tunnel for me. Having been brought up in the arid areas of Turkana, I never thought someday I will be this much educated (still yearning for more education though) and be proud of myself and society. I always had passion to be an engineer and thanks to you for making that dream come true, as the Oscar winner Lupita Nyong'o put it, No matter where I come from, my dreams are valid. I surely don't know how much to thank you but will forever be thankful for your efforts that have made me who I am today.

Even through the difficult times I passed through there before, I thank you for the hope that you gave me.

The difficult times were so frustrating but luckily they didn't deter me from pursuing what I wanted to, they strengthened my faith to study harder.

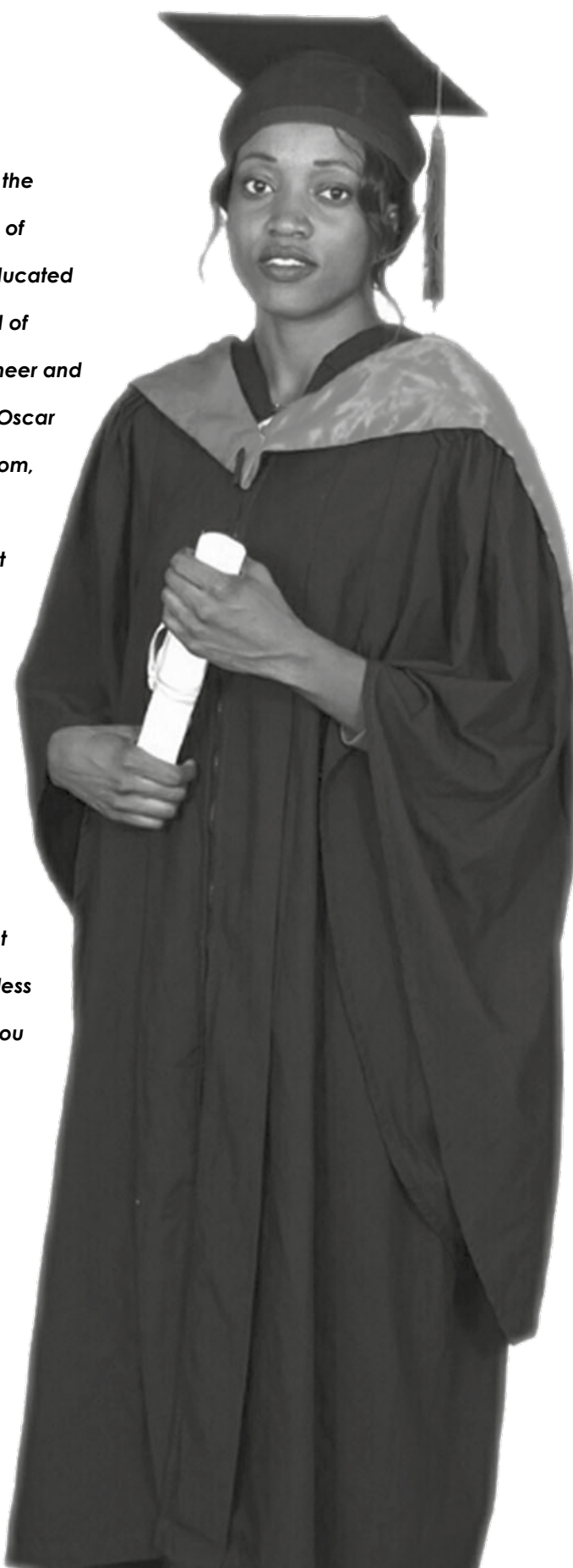
To all of you kind people in Rhino Cement Foundation, who are there to support all those vulnerable but brilliant students from all the corners of this country, may God bless you so much and continue doing goodwill to all of us. You give us so much love, and cannot express my gratitude by any words.”

Epuia Joan Akiru,

Electrical Engineering graduate,

Dedan Kimathi University College

Rhino Cement Foundation Scholar 2011-2015.



The Foundation continues to offer additional mentorship to the students through the ARM Cement staff. During the year, the Foundation conducted mentorship programmes for the mentors thanks to Mr. Ramesh Vora one of the trustees who organised one of the programmes. I also wish to appreciate the members of staff who volunteered for the mentorship training programme.

RCF supports various schools by partnering with the Parents Teachers Associations and the schools to construct various facilities such as dormitories, classrooms and administration blocks including engaging additional teachers where necessary. The building of the Mbungoni Primary School classrooms as well as the administration block has improved the learning environment of the students resulting in high grades achieved in the school. Our current capital projects are: construction of Mbungoni Primary school administration block, Lukenya Girls Centre for Excellence Dormitory and Mwandondo Secondary classrooms.

Lukenya Girls Centre for Excellence Dormitory Block.



Started in October 2015, it is expected to accommodate 120 girls. This is the only public girls boarding secondary school in Athi-River Sub County.

Mbungoni Primary School

Mbungoni primary school is located in Kambe Location of Rabai Subcounty-Kilifi County.

The School was established in 1922 by the community, under the sponsorship of the Methodist Church.

It is about 1.25km from ARM Cement factory at Kaloleni.



Mbungoni Primary School administration block under construction.

"The School was faced with many challenges before 2013 when Rhino cement foundation came to its aid. This included, poor infrastructure, such as leaking roofs, broken doors, windows, walls and floors. Understaffing, pupil's drop-outs, low enrolment, poor performance were being witnessed in the past years. These challenges affected the school greatly. When Rhino Cement Foundation came to the aid of the school, many of these challenges were addressed and the partnership has indeed started to bear fruit. Amongst the notable achievements include the total undertaking of repairs of the School, and the employment by Rhino Cement Foundation of additional teachers who have boosted the academic standard of the School. Academic performance has improved immensely and within three years of the Rhino Cement Foundation presence in the school, six students from the school have been admitted to National schools. Three of these have been sponsored by Rhino Cement Foundation."

Robert Lenga, Chairman of Mbungoni Primary School



Mbungoni Primary School pupils performing at an ARM Cement sponsored function

HEALTH

Rhino Cement Foundation continues to increase the availability of quality healthcare through various projects:

Mzee Paunrana Community Health Clinic

Located in Kaloleni area where the ARM Cement factory is, Mzee Paunrana clinic continued offering residents of the area with quality and affordable healthcare. The clinic continues to serve residents of Rabai and Kaloleni and often patients travel from as far away as 25 kilometres.



A nurse attends to a child at Mzee Paunrana Community Health Clinic

2015 Achievements

"This year we saw 11, 877 patients – including reviews. Very few patients had to be referred to hospitals. The Foundation has appointed one more clinical officer in order to serve the increasing number of patients. The clinic was expanded to accommodate and provide more and quality services to the patients."

Dr. Andreas Meyerhold, resident Doctor, Mzee Paunrana Community Health Clinic

ENVIRONMENT Green Belt Areas

ARM Cement strongly believes it is a collective and individual responsibility to protect and improve the environment in which we all live and work. In 2015, the Foundation established the Green Initiative whose main objective is to mobilize and sensitize the staff and the surrounding community on the need to conserve the environment through planting of trees. To this end, the Initiative has made notable milestones on the outset:

Afforestation of Athi River Factory and its environs has been very successful with of 11,577 seedlings planted around and within the factory. A total of 118,777 trees were planted in the year 2015.



Green corner at Kaloleni Factory

The initiative has successfully established green corners in Machakos and Kilifi Counties. The green corners have been established at the ARM Cement plants at Athi River and Kaloleni as well as schools such as Mavoko Mixed Secondary, St. Paul's Primary and Athi River Primary in Machakos County and Kombeni Secondary, Maandani Secondary and Timboni Primary in Kilifi County where tens of thousands of seedlings are sprouted annually.

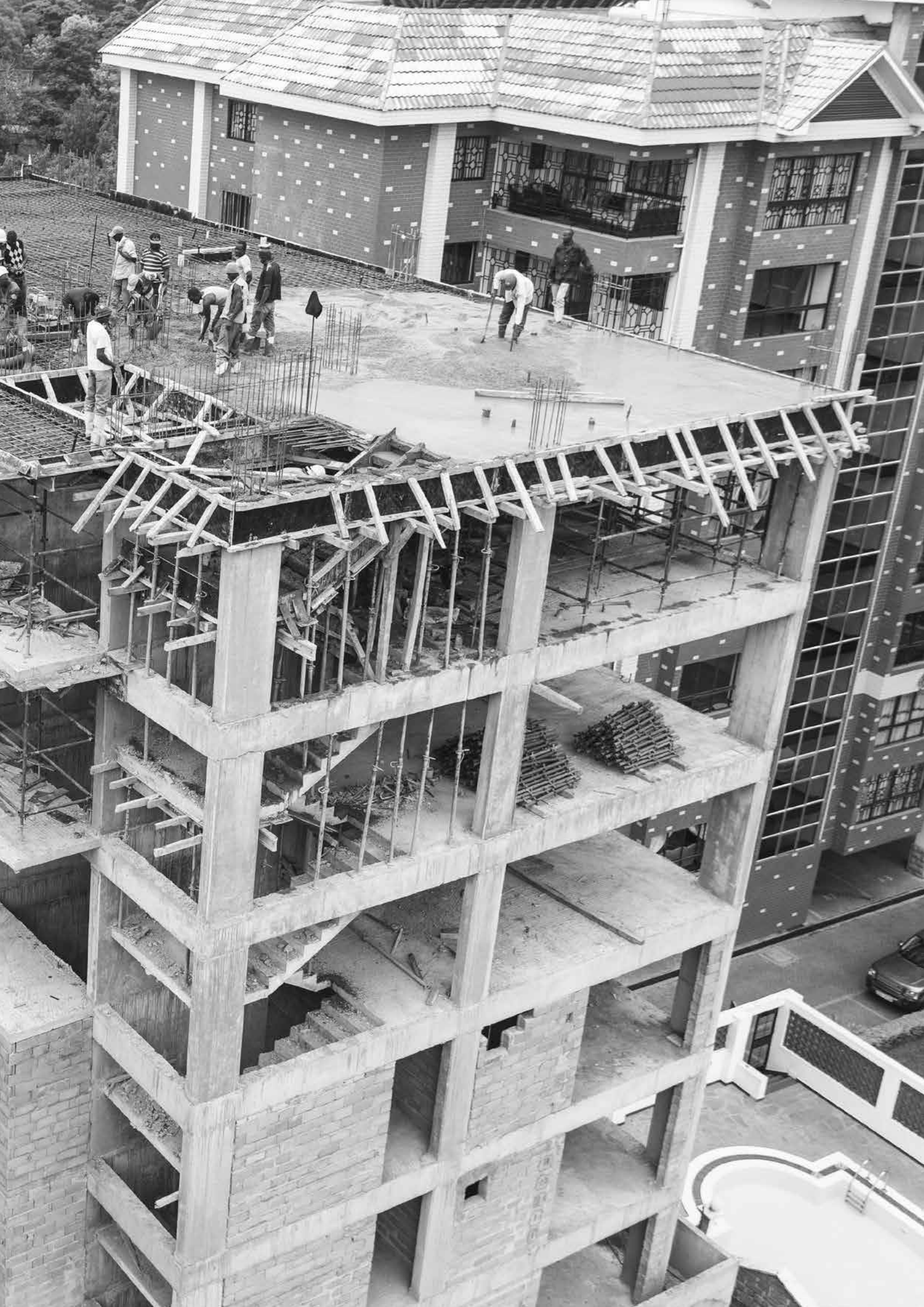
The Foundation through ARM Cement staff has organized Tree Planting Days where they create awareness on the importance of afforestation to the communities within ARM Cement's areas of operations.

Appreciation

As Chairman of the board of trustees of the Rhino Cement Foundation, I wish to thank members of staff of ARM Cement Ltd who actively participated in the day to day activities of the foundation. I also thank the management and Board of Directors of ARM Cement Ltd the financial support from them and their trading partners and business associates.

Titus Mbathi

Chairman, Rhino Cement Foundation



REPORT OF THE DIRECTORS

The Directors present their report together with the audited financial statements of ARM Cement Limited ("the company") and its subsidiaries (together, "the Group") for the year ended 31 December 2015 which disclose the state of their financial affairs.

PRINCIPAL ACTIVITIES

The principal activities of the company and its subsidiaries are the manufacture and sale of cement, mining and processing of industrial minerals and chemicals, trading in other building products and the sale of fertilisers.

	2015 Sh '000	2014 Sh '000
(Loss)/profit before taxation	(3,539,156)	2,018,133
Taxation credit/(charge)	648,315	(524,740)
(Loss)/profit for the year transferred to retained earnings	(2,890,841)	1,493,393
Attributable to:		
Owners of the company	(2,891,539)	1,492,881
Non-controlling interests	698	512
	(2,890,841)	1,493,393

DIVIDENDS

The Directors do not propose the payment of a dividend (2014 – Sh 0.60) in respect of the year ended 31 December 2015 (2014 – Sh 297,165,000).

DIRECTORS

The present Directors are shown on page 5.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenyan Companies Act, Cap 486.

BY ORDER OF THE BOARD

R. R. VORA
Secretary
Nairobi
29th April 2016

CORPORATE GOVERNANCE STATEMENT

INTRODUCTION

ARM Cement Limited is fully committed to the principles of transparency, integrity and accountability. The Directors are ultimately accountable to all stakeholders for ensuring that the Group's business is conducted in accordance with high standards of corporate governance. Of particular importance to the Group are the observance of shareholders' interest, efficient practices and open corporate communication systems. The directors also confirm that they have complied with the corporate governance guidelines as issued by Capital Market Authority (CMA).

SEPARATION OF RESPONSIBILITIES

The roles and responsibilities of the Board of Directors and those of management are clearly set out. The Board of Directors takes the overall responsibility of the Group. It exercises leadership and sound judgement in directing the Group to achieve sustainable growth and acts in the best interests of the shareholders. The Group has a schedule of matters that are reserved for the Board of Directors. Further, the role of the chair and the Group Managing Director are separate in line with best practice.

BOARD OF DIRECTORS

The names of the Directors who held office in the year and to the date of this report are set out on page 5. The Board is responsible for formulating Group policies and strategies and ensuring that business objectives, aimed at promoting and protecting shareholder value, are achieved. The Board also retains the overall responsibility for effective control of the Group and implements corporate governance policies of the Group. The Board comprises executive and non-executive Directors. The Directors have diverse skills and are drawn from various sectors of the economy. The Board Chairman and Chairmen of Board committees are non-executive Directors.

The Board meets regularly, at least four times annually. Notices of Board meetings are issued in advance in accordance with the company's Statutes and General By-Laws and are distributed together with the agenda and Board papers to all the Directors beforehand.

The Company Secretary is always available to the Board of Directors.

a) Directors' Emoluments

The aggregate amount of emoluments paid to Directors for services rendered during the financial year is disclosed in note 6 to the financial statements for the year ended 31 December 2015.

b) Related Party Transactions

There have been no materially significant related party transactions, pecuniary transactions or relationships between the company and its Directors or Management except those disclosed in note 25 to the financial statements for the year ended 31 December 2015.

ROLES AND RESPONSIBILITIES

Chairman of the Board

The chairman of the Board is responsible for the operation, leadership and governance of the Board, ensuring the Board is efficient, focused and operates as a unit. He is the facilitator of the Board and shareholders' meetings ensuring flow of opinion and leading discussions to ensure robust and constructive challenge and debate among those present.

Group Managing Director

The Group Managing Director is responsible for the day to day management of the Group including implementation of policies and strategy. Board authority delegated to management is through the Group Managing Director, who is supported in this role by the executive committee.

CORPORATE GOVERNANCE STATEMENT

Company Secretary

The Company Secretary provides the Board of Directors with detailed guidance on the discharge of their duties in terms of legislation and regulatory requirements of relevant jurisdictions. The company secretary is the central source of information and advice to the Board and within the Group on matters of good governance and business ethics ensuring that the proceedings and affairs of the Board, the company itself and its shareholders are properly administered.

BOARD TRAINING

To ensure that the Board remains up to date on new legislation, best practice, changing risks together with the ever changing operating and business environment.

BOARD COMMITTEES

The Board has in place three main committees, namely Audit and Risk Committee, Nomination, Remuneration & Human Resources (HR) Committee and Strategy & Investments committee. To discharge its mandate effectively, the Board delegates its authority to various sub-committees, whose chairpersons report to the Board. These committees assist the Board in ensuring that proper policies, strategies, internal controls, and organizational structure are in place to achieve the Group's objectives and obligations to its stakeholders. All the committees have detailed terms of reference and hold meetings as necessary. The Board may delegate some of its powers to any committee and may appoint any other committee, including ad hoc task forces, as and when it is deemed necessary. The authority for the day to day running of the Group is delegated to the Managing Director.

a) Audit and Risk Committee

The Audit Committee is chaired by a non-executive Director, Mr. D.M. Ndonye, and meets at least four times a year. Other members are two non-executive Directors Mr. R.M. Ashley and Mr. W. Murungi. The responsibilities of this committee are analysing and overseeing business risk management, review of financial information and the monitoring of the effectiveness of management information and internal control systems. The Committee receives reports from both external and internal auditors and also monitors implementation of audit recommendations, on behalf of the Board.

b) Nomination, Remuneration & HR committee.

The Nomination, Remuneration & HR committee is chaired by a non-executive Director, Mr. W. Murungi. The other members are two non-executive appointees of the Board Mr. M. Turner, and Mr. D.M. Ndonye. The Committee meets at least two times a year and is responsible for assisting in, and making recommendations on, the formulation by the Board and review of the general administrative and procurement policies of the Company and the Company's Policies on Human Resource requirements.

c) Strategy & Investments committee.

The Strategy & Investments committee is chaired by a non-executive Director, Mr. R.M. Ashley. The other members are two non-executive appointees of the Board Mr. M. Turner and Mr. A. Alli as well as three executive appointees of the Board Mr. P.H. Paunrana, Mr. S.L. Bhatia and Mr. A. Mathur. The Committee meets at least four times a year and is responsible for assisting in, and making recommendations on the formulation by the Board and review of the Company's strategies and investments.

CORPORATE GOVERNANCE STATEMENT

CONFLICT OF INTEREST

Business transactions with all parties, directors or their related parties are carried out at arm's length. The Directors are under fiduciary duty to act honestly and in the best interest of the Group. The Directors have submitted their annual declaration of interests which include:-

- An acknowledgment that should it come to his/her attention that a matter concerning the Group may result in a conflict of interest, the Director is obliged to declare the same and will exclude himself/herself from any discussion over the matter in question.
- An acknowledgement that should the director be appointed to the board or acquire a significant interest in business competing with the Group, the director will be obliged to offer his/her resignation.
- An acknowledgement that the forgoing also applies to interests of the immediate family members of the directors.

Business transactions with the directors or their related parties are disclosed in note 26 to the financial statements for the year ended 31 December 2015.

BUSINESS ETHICS

The company conducts its business in compliance with high ethical standards of business practice. In this respect, transactions with its intermediaries, employees and other stakeholders are conducted at arm's length, with integrity and transparency.

RISK MANAGEMENT AND INTERNAL CONTROL

Management, in consultation with the Board Committees, is responsible for the company's day-to-day overall risk management to minimize potential adverse effects on its financial performance while the Board is responsible for the company's system of internal control and for reviewing its effectiveness. The company has an ongoing process of identifying, evaluating and managing significant risks inherent in its business, by senior management and the Board. This process is also reviewed by the Internal Auditor. The internal Auditor reports administratively to the Managing Director and functionally to the Audit and Risk Committee. As part of the independence required by the Group's governance policies, the Internal Audit annual work program and budget are separately approved by the Audit and Risk Committee, which also reviews and approves audit reports and internal audit annual report. The company has put in place a chain of controls which include, but are not limited to, an annual budgeting process, a regular review of strategic initiatives, a well-defined organizational structure which is kept under regular review by the Board and a review of quarterly financial and operating information by Management and the Board.

RESPONSIBILITY FOR STAFF WELFARE AND TRAINING

As part of its policy, the company recognizes the need for diversity, equal opportunities, gender sensitivity and provision of a safe and conducive work environment for its entire staff. The company assists its staff to undertake continuous professional and development training programmes to fulfil their potential. This process is appropriately managed to align staff development with the company's strategic and business goals and objectives, and is reinforced with appropriate remuneration and incentive systems.

COMPLIANCE

The Group operates within the requirements of its Statutes and General By-Laws and adopts certain universally accepted principles in the areas of human rights, labour standards and environment in its commitment to best practice. Additionally, the Group prepares its financial statements in accordance with International Financial Reporting Standards (IFRS).

COMMUNICATION

The Group subscribes to the principles of objective, honest, prompt, balanced, relevant and clear communication of its strategy and activities. To this end, the Group continues to promote dialogue with shareholders, media and investors. Shareholders are encouraged to attend the Annual General Meeting which provides the shareholders with the opportunity to question the Board.

CORPORATE GOVERNANCE STATEMENT

Director	Classification	Designation		Board	Audit & Risk Committee	HR, Nomination & Remuneration Committee	Strategy & Investment Committee
Mr. R M Ashley	Non-Executive	Chairman of the Board & Investment and Strategy Committee	Membership Attendance	√ 4/4	√ 4/4	n/a n/a	√ 4/4
Mr. P H Paurana	Executive Director	Managing Director	Membership Attendance	√ 4/4	n/a n/a	n/a n/a	√ 4/4
Mr. S L Bhatia	Executive Director	Deputy Managing Director	Membership Attendance	√ 4/4	n/a n/a	n/a n/a	√ 4/4
Mr. A Mathur	Executive Director	Finance Director	Membership Attendance	√ 4/4	n/a n/a	n/a n/a	√ 4/4
Mr. W Murungi	Non-Executive	Chairman HR Nomination and Remuneration committee	Membership Attendance	√ 4/4	√ 4/4	√ 2/2	n/a n/a
Mr. D M Ndonye	Non-Executive	Chairman Audit Committee	Membership Attendance	√ 4/4	√ 4/4	√ 2/2	n/a n/a
Mr. M Turner	Non-Executive	Director	Membership Attendance	√ 4/4	n/a n/a	√ 1/2	√ 4/4
Mr A. Alli	Non- Executive	Director	Membership Attendance	√ 3/4	n/a n/a	n/a n/a	√ 3/4
Mr. L. Mususa	Non- Executive	Director	Membership Attendance	√ 4/4	n/a n/a	n/a n/a	n/a n/a

✓ Member of respective committee

Where a Director did not attend a Board or Board Committee meeting, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting.

CORPORATE GOVERNANCE STATEMENT

SHAREHOLDING PROFILES

The company, through its Registrar, files returns regularly in line with Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

a) Principal Shareholders

The top 10 major shareholders, based on the company's share register as at 31 December 2015, are as follows:-

Name	No of Shares	%
Amanat Investments Limited	137,481,245	28
Paurana Pradeep Harjivandas	89,680,000	18
CfC Stanbic Nominees Limited a/c NR01503	30,071,000	6
Athi River Mining employee share ownership plan	20,435,335	4
Standard Chartered Nominees non-resident. a/c 9318	13,412,654	3
Standard Chartered Kenya Nominees Limited a/c KE002258	5,976,900	1
Tunnel World Limited	5,834,310	1
Standard Chartered Nominees non-resident. a/c 967	5,384,834	1
Standard Chartered Nominees a/c KE002257	5,832,914	1
Standard Chartered Nominees. a/c 9230	4,634,160	1
Others	176,531,648	36
Total	495,275,000	100

b) Distribution Schedule

Category	No. of Shareholders	No. of Shares	%
Less than 500	1,490	427,288	0.09
501-5,000	1,834	4,488,452	0.91
5001-10,000	1,199	8,008,950	1.62
10,0001-100,000	578	16,884,193	3.41
100,001 - 1,000,000	176	64,415,964	13.01
Over 1,000,000	53	401,050,153	80.96
Total	5,330	495,275,000	100

Rick Ashley
Chairman

Pradeep H. Paurana
Managing Director

29th April 2016

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, Cap 486 requires the Directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and of the company as at the end of the financial year and of their operating results for that year. It also requires the Directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy, at any time, their financial position. They are also responsible for safeguarding the assets of the Group.

The Directors are responsible for the preparation of financial statements that give a true and fair view of the company and its subsidiaries in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, Cap 486, and for such internal controls as Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, Cap 486. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the company and of their operating results. The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The directors acknowledge that the continued existence of the company as a going concern depends on continued support from the shareholders and the measures that the directors are putting in place to return the group to profitability. The directors are therefore of the view that the group will remain a going concern for at least the next twelve months from the date of this statement.

Rick Ashley
Chairman

Pradeep H. Paurana
Managing Director

29th April 2016

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ARM CEMENT LIMITED

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
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Fax: +254 (20) 444 8966
Dropping Zone No.92
Email: admin@deloitte.co.ke
www.deloitte.com

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ARM CEMENT LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of ARM Cement Limited ("the company") and its subsidiaries (together "the Group"), set out on pages 41 to 86, which comprise the consolidated and company statements of financial position as at 31 December 2015, and the consolidated statement of profit or loss and other comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' Responsibility for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, Cap 486, and for such internal controls as the Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the state of the financial affairs of the Group and of the company as at 31 December 2015 and of the Group's loss and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, Cap 486.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ARM CEMENT LIMITED

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ARM CEMENT LIMITED (Continued)

Report on Other Legal Requirements

As required by the Kenyan Companies Act, Cap 486 we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position (balance sheet) is in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditors' report is CPA Fredrick Okwiri – P/No 1699.



Certified Public Accountants (Kenya)

Nairobi, Kenya

29 April 2016

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2015

	Note	2015 Sh'000	2014 Sh'000
REVENUE		14,735,936	13,743,185
COST OF SALES		(10,390,795)	(10,018,396)
GROSS PROFIT		4,345,141	3,724,789
Other operating income		192,822	127,130
Net foreign exchange losses		(3,717,034)	(285,698)
Distribution costs		(473,300)	(291,217)
Administrative expenses		(1,557,893)	(1,430,216)
Finance costs	5	(2,309,992)	(191,876)
Finance income	6	4,519	365,221
Loss on revaluation of property, plant and equipment	13(a)	(23,419)	-
(LOSS)/PROFIT BEFORE TAXATION	7	(3,539,156)	2,018,133
Taxation credit/(charge)	9(a)	648,315	(524,740)
(LOSS)/PROFIT FOR THE YEAR	10	(2,890,841)	1,493,393
Other comprehensive income			
Items that may be reclassified subsequently to profit or loss:			
Exchange differences on translating foreign operations		(97,928)	847
Items that will not be reclassified subsequently to profit or loss:			
Gain on revaluation of property, plant and equipment	13(a)	15,209,076	-
Deferred tax attributable to gain on revaluation of property, plant and equipment			
Deferred tax attributable to gain on revaluation of freehold land	23	(4,498,181)	-
		10,710,894	-
Other comprehensive income for the year, net of income tax		10,612,967	847
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		7,722,126	1,494,240
(Loss)/profit is attributable to:			
Owners of the company		(2,891,539)	1,492,881
Non-controlling interests	17(b)	698	512
		(2,890,841)	1,493,393
Total comprehensive income is attributable to:			
Owners of the company		7,719,445	1,591,442
Non-controlling interests		2,681	(97,202)
		7,722,126	1,494,240
(LOSS)/EARNINGS PER SHARE – Basic and diluted (Sh)	11	(5.84)	3.01

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2015

	Note	2015 Sh'000	2014 Sh'000
ASSETS			
Non-current assets			
Property, plant and equipment	13(a)	43,657,043	28,257,420
Operating lease prepayments	14	155,963	150,391
Intangible assets	15	190,564	227,980
Goodwill	16	71,012	71,012
Deferred tax asset	23	93,825	-
		44,168,407	28,706,803
Current assets			
Inventories	18	3,867,349	4,036,141
Trade and other receivables	19	3,535,639	3,745,702
Due from Employee Share Ownership Plan (ESOP)	20	58,767	57,471
Due from related parties	26(b)	96,032	17,178
Corporate tax recoverable	9(c)	3,977	-
Short term deposits	25(d)	-	278,988
Cash and bank balances	25(d)	206,493	127,768
		7,768,257	8,263,248
Total assets		51,936,664	36,970,051
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	21	495,275	495,275
Share premium		302,027	302,027
Revaluation surplus		11,082,676	617,627
Translation reserve		(53,492)	46,419
Retained earnings		5,014,111	7,956,969
Equity attributable to equity holders of the parent		16,840,597	9,418,317
Non - controlling interests	17(b)	5,171	2,490
Total equity		16,845,768	9,420,807
Non-current liabilities			
Borrowings	22(a)	8,948,927	7,655,783
Deferred tax liability	23	5,883,067	2,345,394
		14,831,994	10,001,177
Current liabilities			
Dividends payable	12(b)	8,563	12,789
Corporate tax payable	9(c)	13,544	272,203
Borrowings	22(a)	15,432,330	13,216,336
Trade and other payables	24	4,717,051	3,928,952
Due to related parties	26(d)	87,414	117,787
		20,258,902	17,548,067
Total equity and liabilities		51,936,664	36,970,051

The financial statements on pages 41 to 86 were approved and authorised for issue by the Board of Directors on 29th April 2016 and were signed on its behalf by:

.....
Rick Ashley
Chairman

.....
Pradeep H Paunrana
Managing Director

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2015

	Note	2015 Sh'000	2014 Sh'000
ASSETS			
Non-current assets			
Property, plant and equipment	13(b)	14,210,476	9,741,285
Operating lease prepayments	14	1,603	1,671
Intangible assets	15	952	871
Investment in subsidiaries	17(a)	530,864	530,864
		14,743,895	10,274,691
Current assets			
Inventories	18	2,429,041	2,415,602
Trade and other receivables	19	2,469,595	1,840,246
Due from Employee Share Option Plan (ESOP)	20	58,767	57,471
Due from related parties	26(c)	18,885,534	14,755,033
Corporate tax recoverable	9(c)	3,977	-
Cash and bank balances		88,539	297,990
		23,935,453	19,366,342
Total assets		38,679,348	29,641,033
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	21	495,275	495,275
Share premium		302,027	302,027
Revaluation surplus		3,480,225	617,627
Retained earnings		7,775,872	7,796,379
Total equity		12,053,399	9,211,308
Non-current liabilities			
Borrowings	22(b)	6,396,441	5,805,694
Deferred tax liability	23	3,073,136	2,160,476
		9,469,577	7,966,170
Current liabilities			
Dividends payable	12(b)	8,563	12,789
Corporate tax payable	9(c)	-	252,415
Borrowings	22(b)	13,884,980	10,747,470
Trade and other payables	24	2,907,250	1,320,431
Due to related parties	26(e)	355,579	130,450
		17,156,372	12,463,555
Total equity and liabilities		38,679,348	29,641,033

The financial statements on pages 41 to 86 were approved and authorised for issue by the Board of Directors on 29th April 2016 and were signed on its behalf by:

.....
Rick Ashley
Chairman

.....
Pradeep H Paurana
Managing Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2015

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus* Sh'000	Translation reserve** Sh'000	Retained Earnings Sh'000	Attributable to equity holders of the parent Sh'000	Non-controlling interest Sh'000	Total Sh'000
At 1 January 2014	495,275	302,027	950,975	(52,142)	6,427,905	8,124,040	99,692	8,223,732
Profit for the year	-	-	-	-	1,492,881	1,492,881	512	1,493,393
Other comprehensive income for the year	-	-	-	98,561	-	98,561	(97,714)	847
Total comprehensive income for the year	-	-	-	98,561	1,492,881	1,591,442	(97,202)	1,494,240
Transfer of excess depreciation	-	-	(476,211)	-	476,211	-	-	-
Deferred tax on excess depreciation	-	-	142,863	-	(142,863)	-	-	-
Dividends declared – for year 2013 (note 12(b))	-	-	-	-	(297,165)	(297,165)	-	(297,165)
At 31 December 2014	495,275	302,027	617,627	46,419	7,956,969	9,418,317	2,490	9,420,807
At 1 January 2015	495,275	302,027	617,627	46,419	7,956,969	9,418,317	2,490	9,420,807
Loss for the year	-	-	-	-	(2,891,539)	(2,891,539)	698	(2,890,841)
Other comprehensive income for the year	-	-	10,710,895	(99,911)	-	10,610,984	1,983	10,612,967
Total comprehensive loss for the year	-	-	10,710,895	(99,911)	(2,891,539)	7,719,445	2,681	7,722,126
Transfer of excess depreciation	-	-	(351,209)	-	351,209	-	-	-
Deferred tax on excess depreciation	-	-	105,363	-	(105,363)	-	-	-
Dividends declared – for year 2014 (note 12(b))	-	-	-	-	(297,165)	(297,165)	-	(297,165)
At 31 December 2015	495,275	302,027	11,082,676	(53,492)	5,014,111	16,840,597	5,171	16,845,768

* The revaluation surplus represents the cumulative surplus arising from revaluation of property, plant and equipment and is not distributable.

** The translation reserve represents the effect of the change in exchange rates at the beginning of the year and at the close of the year on translation of the net assets of foreign subsidiaries from the functional currencies of the foreign operations to the presentation currency (Kenya Shillings).

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2015

	Share capital Sh'000	Share premium Sh'000	Revaluation surplus* Sh'000	Retained earnings Sh'000	Total Sh'000
At 1 January 2014	495,275	302,027	950,975	6,392,257	8,140,534
Total comprehensive income for the year	-	-	-	1,367,939	1,367,939
Transfer of excess depreciation	-	-	(476,211)	476,211	-
Deferred tax on excess depreciation	-	-	142,863	(142,863)	-
Dividends declared – year 2013 (note 12(b))	-	-	-	(297,165)	(297,165)
At 31 December 2014	495,275	302,027	617,627	7,796,379	9,211,308
At 1 January 2015	495,275	302,027	617,627	7,796,379	9,211,308
Total comprehensive income for the year	-	-	3,108,444	30,812	3,139,256
Transfer of excess depreciation	-	-	(351,209)	351,209	-
Deferred tax on excess depreciation	-	-	105,363	(105,363)	-
Dividends declared – year 2014 (note 12(b))	-	-	-	(297,165)	(297,165)
At 31 December 2015	495,275	302,027	3,480,225	7,775,872	12,053,399

* The revaluation surplus represents the cumulative surplus arising from revaluation of property, plant and equipment and is not distributable.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2015

	Note	2015 Sh'000	2014 Sh'000
Cash flows from operating activities			
Cash generated from operations	25(a)	2,324,158	1,513,673
Interest paid	25(e)	(1,878,258)	(332,317)
Interest received		4,519	365,221
Corporation tax paid	9(c)	(640,454)	(622,956)
Net cash (used)/generated from operating activities		(190,035)	923,621
Cash flows from investing activities			
Purchase of property, plant and equipment	25(b)	(2,947,710)	(6,857,263)
Purchase of intangible assets	15	(28,885)	(34,123)
Proceeds of disposal of property, plant and equipment		-	83
Net cash used in investing activities		(2,976,595)	(6,891,303)
Cash flows from financing activities			
Dividends paid	12(b)	(301,391)	(297,165)
Finance lease payments		-	(184)
Borrowings received	25(c)	10,688,686	5,949,441
Repayment of amounts borrowed	25(c)	(9,658,286)	(1,089,000)
Net cash generated from financing activities		729,009	4,563,092
Net decrease in cash and cash equivalents		(2,437,621)	(1,404,590)
MOVEMENT IN CASH AND CASH EQUIVALENTS			
Cash and cash equivalents 1 January		(2,735,632)	(1,879,015)
Net decrease in cash and cash equivalents above		(2,437,621)	(1,404,590)
Effect of translation adjustments		1,790,470	547,973
Cash and cash equivalents 31 December	25(d)	(3,382,783)	(2,735,632)



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

1 ACCOUNTING POLICIES

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards (IFRS) and the requirements of the Kenyan Companies Act, Cap 486.

For purposes of the Kenyan Companies Act, Cap 486 reporting purposes, in these financial statements, the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of profit or loss and other comprehensive income.

Application of new and revised International Financial Reporting Standards (IFRSs) and interpretations (IFRIC)

- i) Relevant new standards and amendments to published standards effective for the year ended 31 December 2015

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

IAS 19 Defined Benefit Plans: Employee Contributions

The amendments to IAS 19 clarify the accounting treatment for contributions from employees or third parties to a defined benefit plan.

According to the amendments, discretionary contributions made by employees or third parties reduce service cost upon payment of these contributions to the plan. When the formal terms of the plan specify contributions from employees or third parties, the accounting depends on whether the contributions are linked to service, as follows:

- If the contributions are not linked to services (e.g. contributions are required to reduce a deficit arising from losses on plan assets or from actuarial losses), they affect the remeasurement of the net defined benefit liability (asset).
- If contributions are linked to services, they reduce service costs. If the amount of contribution is dependent on the number of years of service, the entity should reduce service cost by attributing it to the contributions to periods of service using the attribution method required by IAS 19 paragraph 70 (for the gross benefits). If the amount of contribution is independent of the number of years of service, the entity is permitted to either reduce service cost in the period in which the related service is rendered, or reduce service cost by attributing the contributions to the employees' periods of service in accordance with IAS 19 paragraph 70. The amendment requires retrospective application
- The directors anticipate that the application of the standard will not have an impact on the Group's financial statements since the Group doesn't have a defined benefit plan.

Annual Improvements 2010-2012 Cycle

The Annual Improvements to IFRSs 2010-2012 Cycle include a number of amendments to various IFRSs, which are summarised below:

The amendment to IFRS 2 is to clarify the definition of vesting condition and market condition to ensure the consistent classification of conditions attached to a share-based payment. It also adds definitions for 'performance condition' and 'service condition' which were previously included as part of the definition of 'vesting condition'. The amendment requires prospective application.

The amendment to IFRS 3 clarifies that contingent consideration should be measured at fair value at each reporting date, irrespective of whether or not the contingent consideration falls within the scope of IFRS 9 or IAS 39. Changes in fair value (other than measurement period adjustments as defined in IFRS 3) should be recognised in profit and loss. The amendment to IFRS 3 requires prospective application.

The amendment to IFRS 8(i) requires an entity to disclose the judgements made by management in applying the aggregation criteria to operating segments, including a brief description of the operating segments aggregated and the economic indicators assessed in determining whether the operating segments share similar economic characteristics; and (ii) clarifies that a reconciliation of the total of

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

the reportable segments' assets to the entity's assets should only be provided if information about the amount of segment assets are regularly provided to the chief operating decision-maker

The amendment to IFRS 13 clarifies that the issuance of IFRS 13 and consequential amendments to IAS 39 and IFRS 9 did not remove the ability to measure short - term receivables and payables with no stated interest rate at their invoice amounts without discounting, if the effect of discounting is immaterial. This amendment does not include any effective date because this is just to clarify the intended meaning in the basis for conclusions.

The amendment to IAS 16 and IAS 38 remove perceived inconsistencies in the accounting for accumulated depreciation/amortisation when an item of property, plant and equipment or an intangible asset is revalued. The amended standards clarify that the gross carrying amount is adjusted in a manner consistent with the revaluation of the carrying amount of the asset and that accumulated depreciation/ amortisation is the difference between the gross carrying amount and the carrying amount after taking into account accumulated impairment losses

The amendment to IAS 24 clarifies that a management entity providing key management personnel services to the reporting entity or to the parent of the reporting entity is a related party of the reporting entity. Consequently, the reporting entity should disclose as related party transactions the amounts incurred for the service paid or payable to the management entity for the provision of key management personnel services. However, disclosure of the components of compensation to key management personnel that is paid by the management entity to the management entity's employees or directors is not required.

Annual Improvements 2011-2013 Cycle

The Annual Improvements to IFRSs 2011-2013 Cycle include a number of amendments to various IFRSs, which are summarised below:

The amendments to IFRS 3 clarify that the standard does not apply to the accounting for the formation of all types of joint arrangement in the financial statements of the joint arrangement itself.

The amendments to IFRS 13 clarify that the scope of the portfolio exception for measuring the fair value of a group of financial assets and financial liabilities on a net basis includes all contracts that are within the scope of, and accounted for in accordance with, IAS 39 or IFRS 9, even if those contracts do not meet the definitions of financial assets or financial liabilities within IAS 32

The amendments to IAS 40 clarify that IAS 40 and IFRS 3 are not mutually exclusive and application of both standards may be required. Consequently, an entity acquiring investment property must determine whether:

- (a) the property meets the definition of investment property in terms of IAS 40; and
- (b) the transaction meets the definition of a business combination under IFRS 3

The directors of the Group do not anticipate that the application of these amendments will have a significant impact on the Group's financial statements.

ii) **Relevant new and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2015**

New and Amendments to standards	Effective for annual periods beginning on or after
IFRS 9	1 January 2018
IFRS 15 Revenue from contracts with customers	1 January 2018
Amendments to IFRS 11	1 January 2016
Amendments to IAS 16 and IAS 38	1 January 2016
Annual improvements 2012- 2014 cycle	1 July 2016

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2015 and future annual periods

IFRS 9 Financial Instruments

In July 2014, the IASB finalised the reform of financial instruments accounting and issued IFRS 9 (as revised in 2014), which contains the requirements for a) the classification and measurement of financial assets and financial liabilities, b) impairment methodology, and c) general hedge accounting. IFRS 9 (as revised in 2014) will supersede IAS 39 Financial Instruments: Recognition and Measurement upon its effective date.

Phase 1: Classification and measurement of financial assets and financial liabilities

With respect to the classification and measurement, the number of categories of financial assets under IFRS 9 has been reduced; all recognised financial assets that are currently within the scope of IAS 39 will be subsequently measured at either amortised cost or fair value under IFRS 9. Specifically:

- a debt instrument that (i) is held within a business model whose objective is to collect the contractual cash flows and (ii) has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding must be measured at amortised cost (net of any write down for impairment), unless the asset is designated at fair value through profit or loss (FVTPL) under the fair value option.
- a debt instrument that (i) is held within a business model whose objective is achieved both by collecting contractual cash flows and selling financial assets and (ii) has contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, must be measured at FVTOCI, unless the asset is designated at FVTPL under the fair value option.
- all other debt instruments must be measured at FVTPL.
- all equity investments are to be measured in the statement of financial position at fair value, with gains and losses recognised in profit or loss except that if an equity investment is not held for trading, an irrevocable election can be made at initial recognition to measure the investment at FVTOCI, with dividend income recognised in profit or loss.

IFRS 9 also contains requirements for the classification and measurement of financial liabilities and derecognition requirements. One major change from IAS 39 relates to the presentation of changes in the fair value of a financial liability designated as at FVTPL attributable to changes in the credit risk of that liability. Under IFRS 9, such changes are presented in other comprehensive income, unless the presentation of the effect of the change in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Under IAS 39, the entire amount of the change in the fair value of the financial liability designated as FVTPL is presented in profit or loss.

Phase 2: Impairment methodology

The impairment model under IFRS 9 reflects expected credit losses, as opposed to incurred credit losses under IAS 39. Under the impairment approach in IFRS 9, it is no longer necessary for a credit event to have occurred before credit losses are recognised. Instead, an entity always accounts for expected credit losses and changes in those expected credit losses. The amount of expected credit losses should be updated at each reporting date to reflect changes in credit risk since initial recognition.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Phase 3: Hedge accounting

The general hedge accounting requirements of IFRS 9 retain the three types of hedge accounting mechanisms in IAS 39. However, greater flexibility has been introduced to the types of transactions eligible for hedge accounting, specifically broadening the types of instruments that qualify as hedging instruments and the types of risk components of non-financial items that are eligible for hedge accounting. In addition, the effectiveness test has been overhauled and replaced with the principle of an 'economic relationship'. Retrospective assessment of hedge effectiveness is no longer required. Far more disclosure requirements about an entity's risk management activities have been introduced.

The work on macro hedging by the IASB is still at a preliminary stage - a discussion paper was issued in April 2014 to gather preliminary views and direction from constituents with a comment period which ended on 17 October 2014. The project is under redeliberation at the time of writing.

Transitional provisions

IFRS 9 (as revised in 2014) is effective for annual periods beginning on or after 1 January 2018 with earlier application permitted. If an entity elects to apply IFRS 9 early, it must apply all of the requirements in IFRS 9 at the same time, except for those relating to:

- the presentation of fair value gains and losses attributable to changes in the credit risk of financial liabilities designated as at FVTPL, the requirements for which an entity may early apply without applying the other requirements in IFRS 9; and
- hedge accounting, for which an entity may choose to continue to apply the hedge accounting requirements of IAS 39 instead of the requirements of IFRS 9.

The directors of the Group anticipate that the application of IFRS 9 in the future may not have a significant impact on amounts reported in respect of the Group's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of the effect of IFRS 9 until a detailed review has been completed.

IFRS 15 Revenue from Contracts with Customers

In May 2015, IFRS 15 was issued which establishes a single comprehensive model for entities to use in accounting for revenue arising from contracts with customers. IFRS 15 will supersede the current revenue recognition guidance including IAS 18 Revenue, IAS 11 Construction Contracts and the related Interpretations when it becomes effective.

The core principle of IFRS 15 is that an entity should recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Specifically, the Standard introduces a 5-step approach to revenue recognition

- Step 1: Identify the contract(s) with a customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations in the contract
- Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Under IFRS 15, an entity recognises revenue when (or as) a performance obligation is satisfied, i.e. when 'control' of the goods or services underlying the particular performance obligation is transferred to the customer. Far more prescriptive guidance has been added in IFRS 15 to deal with specific scenarios. Furthermore, extensive disclosures are required by IFRS 15. However, it is not practicable to provide a reasonable estimate of the effect of IFRS 15 until a detailed review has been completed.

IFRS 16 Leases

IFRS 16 specifies how an entity will recognise, measure, present and disclose leases. The standard provides a single lease accounting model, requiring lessees to recognise assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Lessors continue to classify leases as operating or finance lease, with IFRS 16, approach to lessor accounting unchanged from its predecessor, IAS 17.

IFRS 16 applies to annual reporting periods beginning on or after 1 January 2019.

The directors anticipate that the adoption of IFRS 16 will not have a significant impact on the bank's financial statements.

Amendments to IAS 16 and IAS 38 Clarification of Acceptable Methods of Depreciation and Amortisation

The amendments to IAS 16 prohibit entities from using a revenue-based depreciation method for items of property, plant and equipment. The amendments to IAS 38 introduce a rebuttable presumption that revenue is not an appropriate basis for amortisation of an intangible asset. This presumption can only be rebutted in the following two limited circumstances:

- a) when the intangible asset is expressed as a measure of revenue; or
- b) when it can be demonstrated that revenue and consumption of the economic benefits of the intangible asset are highly correlated.

The amendments apply prospectively for annual periods beginning on or after 1 January 2016. Currently, the Group uses the straight-line method for depreciation and amortisation for its property and equipment, and intangible assets respectively.

The directors of the Group do not anticipate that the application of the standard will have a significant impact on the Group's financial statements.

Annual Improvements 2012-2014 Cycle

Makes amendments to the following standards:

The amendments to IFRS 5 adds specific guidance in IFRS 5 for cases in which an entity reclassifies an asset from held for sale to held for distribution or vice versa and cases in which held-for-distribution accounting is discontinued.

The amendments to IFRS 7 adds additional guidance to clarify whether a servicing contract is continuing involvement in a transferred asset for the purpose of determining the disclosures required. Clarifies the applicability of the amendments to IFRS 7 on offsetting disclosures to condensed interim financial statements.

The amendments to IAS 19 clarifies that the high quality corporate bonds used in estimating the discount rate for post-employment benefits should be denominated in the same currency as the benefits to be paid (thus, the depth of the market for high quality corporate bonds should be assessed at currency level).

The amendment to IAS 34 clarifies the meaning of 'elsewhere in the interim report' and requires a cross-reference.

The directors of the Group do not anticipate that the application of these amendments will have a significant impact on the Group's financial statements.

(iv) Early adoption of standards

The Group did not early-adopt new or amended standards in 2015.

Basis of preparation

The Group prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities controlled by the company and its subsidiaries. Control is achieved when the company:

- has power over the investee
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns

The company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the company has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The company considers all relevant facts and circumstances in assessing whether or not the company's voting rights in an investee are sufficient to give it power, including:

- the size of the Company's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the company, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Company has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be made, including voting patterns at previous shareholder's meetings.

Consolidation of a subsidiary begins when the company obtains control over the subsidiary and ceases when the company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit or loss and other comprehensive income from the date the company gains control until the date when the company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the owners of the company and to the non-controlling interests. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interest even if this results in the non-controlling interests having a deficit balance.

When necessary, adjustments are made to the financial statements for subsidiaries to bring their accounting policies into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to the transactions between the members of the Group are eliminated in full on consolidation.

Changes in the Group's ownership interests in existing subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the Group's interest and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to owners of the Company.

Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of goods is recognised when all the following conditions are satisfied:

- the Group has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the Group retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

(ii) Interest income

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Foreign currencies

The individual financial statements of each Group entity are presented in the currency of the primary economic environment in which the entity operates. For the purpose of the consolidated financial statements, the results and financial position of each Group entity are expressed in Kenya shillings, which is the functional currency of the company and the presentation currency for the consolidated financial statements.

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are translated to Kenya shillings using exchange rates prevailing at the end of reporting date. Income and expense items are translated at the average exchange rates for the period. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in equity in the Group's translation reserve. Such differences are recognised in the profit or loss in the period in which the foreign operation is disposed of.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in the statement of comprehensive income in the period in which they are incurred.

Taxation

The taxation charge represents the sum of the current taxation charge and the deferred taxation charge for the year.

Current taxation is provided for on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred taxation asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Property, plant and equipment

The Group's Policy requires a revaluation of property, plant and equipment to be carried out by a professional valuer every 5 years.

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except computer equipment and furniture and fittings are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any accumulated impairment losses. Any revaluation increase arising on the revaluation of such property, plant and equipment is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation on revalued property, plant and equipment is recognised in profit or loss. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the statement of comprehensive income) and depreciation based on the asset's original cost is transferred from the revaluation reserves to retained earnings. On the subsequent sale or retirement of a revalued item of property, plant and equipment, the attributable revaluation surplus remaining in the item's revaluation reserve is transferred directly to retained earnings. No transfer is made from the revaluation reserve to retained earnings except when an asset is derecognised.

Depreciation

Depreciation is calculated on the straight line basis to write off the cost or valuation of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Freehold land	Nil
Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 15%
Motor vehicles	10% to 25%
Furniture and fittings	7.5% to 15%
Computer hardware	20% to 30%

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred including interest in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to an entity within the Group as a lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease so as to achieve a constant rate of interest on the outstanding liability over the remaining term of the lease.

Payments to acquire leasehold interests in land are accounted for as operating lease prepayments and are amortised over the period of the lease.

Rental payments in respect of operating leases are charged to the statement of profit or loss in the year to which they relate.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Intangible assets-computer software costs

Costs incurred on acquisition or development of computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on the straight line basis over the estimated useful life not exceeding a period of 4 years.

Goodwill

Goodwill arising on consolidation represents the excess of the cost of acquisition over the fair value of the Group's share of the net assets of the acquired subsidiary as at the date of acquisition. Goodwill is initially recognised as an asset at cost and is subsequently measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill is allocated to the cash generating units expected to benefit from the synergies of the combination. Cash generating units to which goodwill has been allocated are tested for impairment annually. If the recoverable amount of the cash generating unit is less than the carrying amount of the unit, the impairment loss is allocated to reduce the carrying amount of the goodwill allocated to the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

Investment in subsidiaries

The investments in subsidiaries are stated at their acquisition cost less any accumulated impairment losses.

Inventories

Inventories are stated at lower of cost and net realisable values. Cost is calculated on the weighted average cost basis and includes direct production costs, labour and relevant transport costs. Work in progress comprises raw materials costs, direct labour costs, other direct costs and related production overheads. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Share-based payments

Equity-settled share-based payments to employees and others providing similar services are measured at the fair value of the equity instruments at the grant date.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified at an Annual General Meeting.

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

Revaluation reserve

The revaluation reserve arises on the revaluation of property, plant and equipment. Where revalued assets are sold, the portion of the properties' revaluation reserve that relates to those assets is effectively realised and transferred directly to retained earnings.

Translation reserve

The foreign exchange differences relating to the translation of balances from the functional currencies of the Group's foreign subsidiaries into the Kenya Shilling, which is the functional currency of the Group, are brought to account by entries made directly to the foreign currency translation reserve.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Retirement benefit obligations

The Group contributes to the statutory National Social Security Fund in Kenya and Tanzania. The Group's obligations under the schemes are determined by local statute and are currently at Sh 200 per employee per month in Kenya and 10% of the gross pay of each employee in Tanzania. The Group's contributions are charged to the statement of profit or loss in the year to which they relate. ARMSA (Pty) Limited and Mafeking Cement (Pty) Limited do not contribute to any retirement benefits scheme for their employees.

Employee benefits

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued at the statement of financial position date.

Financial instruments

A financial asset or liability is recognised when the Group becomes party to the contractual provisions of the instrument.

Financial assets

Classification

The Group classifies its financial assets into the following categories: financial assets at fair value through profit or loss, loans and receivables, held-to-maturity financial assets and available-for-sale financial assets. The classification adopted for a particular financial asset depends on the purpose for which the asset was acquired. Management determines the classification of its financial asset at initial recognition and re-evaluates this at every reporting date.

i) *Financial assets at fair value through profit or loss ("FVTPL")*

This category has two sub-categories: financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified into this category at inception if acquired principally for the purpose of selling in the short term, if it forms part of a portfolio of financial assets in which there is evidence of short term profit-taking or if so designated by management.

ii) *Loans and receivables*

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

iii) *Held-to-maturity financial assets*

Held-to-maturity financial assets are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than for an insignificant amount of held-to-maturity financial asset, the entire category would be reclassified as available-for-sale.

iv) *Available-for-sale financial assets*

This classification represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition of financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are subsequently carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are dealt with in the statement of profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the statement of profit or loss.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Derecognition of financial assets

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities

Financial liabilities are classified at amortised cost

Other financial liabilities

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs and are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective interest basis. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or they expire.

Impairment

At each balance sheet date, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised in the statement of profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation, and a reliable estimate can be made of the amount of obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of each reporting period, taking into account the risks and uncertainties surrounding the obligation.

Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision maker (Group management). Management allocates resources to and assess the performance of the operating segments of the Group. The operating segments are based on the Group's management and internal reporting structure. In accordance with IFRS 8 the Group has the following business segments; cement and lime and other products segments (see note 3).

Contingent liabilities

Contingent liabilities arise if there is a possible obligation; or a present obligation that may, but probably will not, require an outflow of economic resources; or there is a present obligation, but there is no reliable method to estimate the monetary value of the obligation.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

2 CRITICAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the Group's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods.

Key areas of judgement and sources of estimation uncertainty

The following are the critical judgements and key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date that have had the most significant effect on amounts recognised in the financial statements and that have a significant risk of causing material adjustment to the carrying amounts of assets and liabilities within the next financial year:

a) Critical judgements in applying accounting policies.

Deferred income tax

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

b) Key sources of estimation uncertainty

Property, plant and equipment and intangible assets

The Group reviews the estimated useful lives of property, plant and equipment and intangible assets at the end of each reporting period.

Impairment

At each reporting date, the Group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss, other than that arising from goodwill, is recognised as income immediately.

Determining whether goodwill is impaired requires an estimation of the value in use of the cash generating units to which goodwill has been allocated.

Contingent liabilities

The Group is exposed to various contingent liabilities in the normal course of business.

The Directors evaluate the status of these exposures on a regular basis to assess the probability of the Group incurring related liabilities. However, provisions are only made in the financial statements where, based on the Directors' evaluation, a present obligation has been established.

Contingent liabilities are disclosed in note 29 to the financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

3 GOING CONCERN

The group incurred a net loss of Sh 2,890,841,000 during the year and had net current liabilities amounting to Sh 12,490,645 and borrowings of Sh 24,381,257,000 as at 31 December 2015. These conditions may indicate the existence of a material uncertainty that may cast significant doubt about the group's ability to continue as a going concern. However, the directors are putting in place measures to improve the performance of the group and to reduce reliance on financial support from the shareholders. The directors are confident of the success of these measures and have therefore deemed it appropriate to prepare the financial statements on a going concern basis.

4 OPERATING SEGMENTS

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Operating Decision Maker in order to allocate resources to the segments and to assess their performance

The bulk of the Group operations are within Kenya, Tanzania and South Africa. The critical business segments are:

- Cement and lime.
- Other products.

	Cement and Lime		Other products		Total	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
Sales	10,931,755	11,856,382	3,804,181	1,886,803	14,735,936	13,743,185
Expenditure	(14,557,499)	(9,894,854)	(3,717,593)	(1,830,198)	(18,275,092)	(11,725,052)
(Loss) / Profit before taxation	(3,625,744)	1,961,528	86,588	56,605	(3,539,156)	2,018,133
Total assets	44,866,578	34,243,677	7,070,086	2,726,374	51,936,664	36,970,051
Total liabilities	31,892,817	27,205,378	3,198,079	343,866	35,090,896	27,549,244
Depreciation and amortization	720,328	551,137	157,547	89,684	877,875	640,821
Capital expenditure	2,777,593	6,965,510	199,002	32,194	2,976,595	6,997,704

Revenue reported above represents revenue generated from external customers.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Geographical information

	Kenya Sh'000	Tanzania Sh'000	South Africa Sh'000	Rwanda Sh'000	Eliminated on consolidation Sh'000	Total Sh'000
31 December, 2015						
Sales and other income	11,112,486	4,044,829	2,701	168,209	(394,948)	14,933,277
Cost of sales and other expenditure	(11,026,120)	(7,607,500)	6	(233,767)	394,948	(18,472,433)
Profit / (Loss) before taxation	86,366	(3,562,671)	2,707	(65,558)	-	(3,539,156)
Assets	38,684,703	32,000,446	238,851	552,080	(19,539,416)	51,936,664
Liabilities	26,625,949	26,775,215	324,884	444,413	(19,079,564)	35,090,897
Depreciation and amortisation	451,738	420,005	-	6,132	-	877,875
Capital expenditure	572,211	2,375,577	28,378	429	-	2,976,595

31 December, 2014

Sales and other income	9,800,096	4,450,454	3,202	238,751	(255,273)	14,237,230
Cost of sales and other expenditure	(7,988,627)	(4,201,682)	(1,840)	(282,221)	255,273	(12,219,097)
Profit / (Loss) before taxation	1,811,469	248,772	1,362	(43,470)	-	2,018,133
Assets	23,179,250	13,083,101	237,031	470,669	-	36,970,051
Liabilities	14,976,104	11,902,477	340,620	330,043	-	27,549,244
Depreciation and amortisation	413,560	220,920	-	6,341	-	640,821
Capital expenditure	586,104	6,220,047	-	191,553	-	6,997,704

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

		GROUP	
		2015	2014
		Sh'000	Sh'000
5	FINANCE COSTS		
	Interest payable on:		
	- Loans	2,061,179	193,680
	- Bank overdrafts	248,173	138,637
	- Finance leases	640	-
	Total borrowing costs	2,309,992	332,317
	Less: Amounts included in the cost of qualifying assets	-	(140,441)
		2,309,992	191,876
6	FINANCE INCOME		
	Interest receivable	4,519	365,221
7	(LOSS)/PROFIT BEFORE TAXATION		
	The (loss)/profit before taxation is arrived at after charging:		
	Depreciation on property, plant and equipment (note 13(a))	877,043	639,218
	Provision for obsolescence (note 18)	32,278	17,073
	Amortisation of operating lease prepayments (note 14)	366	367
	Amortisation of intangible assets (note 15)	466	1,236
	Operating lease rentals - motor vehicles	44,392	43,726
	Directors' emoluments: - fees (non-executive)	8,293	8,055
	- other emoluments (executive)	175,267	154,340
	Staff costs (note 8)	1,218,981	998,594
	Auditors' remuneration - company	4,643	4,285
	- subsidiaries	4,250	5,604
	Gain on disposal of property, plant and equipment	-	(20)
8	STAFF COSTS		
	Wages and salaries	1,119,607	933,484
	Social security cost (NSSF)	42,786	21,516
	Leave pay (write back)/provision	(7,668)	4,729
	Other staff costs	64,256	38,865
		1,218,981	998,594
	Executive directors' emoluments	175,267	154,340
		1,394,248	1,152,934

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
9 TAXATION				
a) Taxation (credit)/charge				
Current taxation charge based on taxable income:	357,184	412,001	357,184	412,001
Prior year under provision	25,996	-	25,996	-
	383,180	412,001	383,180	412,001
Deferred tax:	(1,011,461)	114,817	(305,173)	33,826
- (Credit)/charge (note 23)	(20,034)	(2,078)	(22,155)	(2,078)
- Prior year over provision (note 23)	(1,031,495)	112,739	(327,328)	31,748
	(648,315)	524,740	55,852	443,749
b) Reconciliation of tax/(credit) charge to expected taxation based on accounting profit:				
(Loss)/profit before taxation	(3,539,156)	2,018,133	86,664	1,811,688
Tax calculated at a tax rate of 30%	(1,061,747)	605,440	25,999	543,506
Tax effect of:				
- Expenses not deductible for tax purposes	407,470	(78,622)	26,012	(97,679)
Prior year deferred taxation over provision	(20,034)	(2,078)	(22,155)	(2,078)
Taxation (credit)/charge	(648,315)	524,740	55,852	443,749
c) Corporate tax payable/(recoverable)				
At 1 January	272,203	484,866	252,415	467,106
Tax expense (note 9(a))	357,184	412,001	357,184	412,001
Tax paid during the year	(640,454)	(622,956)	(639,572)	(626,692)
Prior year tax under provision	25,996	-	25,996	-
Exchange difference	(5,362)	(1,708)	-	-
At 31 December	9,567	272,203	(3,977)	252,415
Comprising				
Income tax payable	13,544	272,203	-	252,415
Income tax recoverable	(3,977)	-	(3,977)	-
	9,567	272,203	(3,977)	252,415

Tax balances for the Group have not been offset in the statement of financial position as the Group does not have a legal right of offset.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

10 (LOSS)/PROFIT FOR THE YEAR

The profit attributable to shareholders dealt with in the company separate financial statements is Sh 30,812,000 (2014 – Sh 1,367,939,000).

11 EARNINGS PER SHARE

Basic earnings per share has been calculated by dividing the profit for the year attributable to equity holders of the parent company by the number of ordinary shares in issue at the reporting date. The basic and diluted earnings per share are the same as there are no dilutive effects on earnings.

	2015	2014
(Loss) / Profit attributable to ordinary shareholders (Sh'000)	(2,891,539)	1,492,881
Weighted average number of ordinary shares in issue (note 21)	495,275,000	495,275,000
Basic and diluted earnings per ordinary share (Sh)	(5.84)	3.01

12 DIVIDENDS

(a) Dividends per share

The Directors do not propose the payment of a dividend (2014 – Sh 0.60 per share) in respect of the year ended 31 December 2015 (2014 – Sh 297,165,000).

The dividends payable are subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

(b) The movement in the dividends payable account is as follows:

	GROUP & COMPANY	
	2015 Sh'000	2014 Sh'000
At 1 January	12,789	3,413
Final dividends declared	297,165	297,165
Dividends paid	(301,391)	(297,165)
Unclaimed dividends in the year	-	9,376
At 31 December	8,563	12,789

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

13(a) PROPERTY, PLANT AND EQUIPMENT -GROUP

	Freehold land	Buildings on leasehold land	Heavy commercial vehicles and Quarrying Equipment	Computer, hardware, plant machinery, motor vehicles, furniture and Fittings	Capital work in Progress	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Cost or valuation						
At 1 January 2014	298,091	5,171,212	444,588	7,955,956	10,570,794	24,440,641
Additions	3,386	93	6,904	235,035	6,752,286	6,997,704
Transfers	-	-	-	1,231,630	(1,231,630)	-
Disposals	-	-	-	(98)	-	(98)
Translation difference	-	(61,015)	(175,921)	(95,541)	(226,369)	(558,846)
At 31 December 2014	301,477	5,110,290	275,571	9,326,982	15,865,081	30,879,401
At 1 January 2015	301,477	5,110,290	275,571	9,326,982	15,865,081	30,879,401
Additions	1,420	80,800	2,890	8,645	2,853,955	2,947,410
Transfers	-	6,928,234	-	4,682,047	(11,610,281)	-
Revaluation adjustment	177,323	2,010,334	(133,681)	10,070,458	-	12,124,434
Translation difference	-	(193,308)	142,400	(210,776)	(418,116)	(677,222)
At 31 December 2015	480,220	13,936,350	287,180	23,877,356	6,690,639	45,271,745
Depreciation						
At 1 January 2014	-	313,290	137,765	1,547,280	-	1,998,335
Charge for the year	-	129,338	32,152	477,728	-	639,218
Eliminated on disposal	-	-	-	(5)	-	(5)
Translation difference	-	(2,355)	(41,045)	27,833	-	(15,567)
At 31 December 2014	-	440,273	128,872	2,052,836	-	2,621,981
At 1 January 2015	-	440,273	128,872	2,052,836	-	2,621,981
Charge for the year	-	231,363	41,658	604,022	-	877,043
Write back of depreciation on revaluation	-	(622,598)	(189,921)	(2,248,704)	-	(3,061,223)
Translation difference	-	644,752	28,565	503,584	-	1,176,901
At 31 December 2015	-	693,790	9,174	911,738	-	1,614,702
NET BOOK VALUE (REVALUATION BASIS)						
At 31 December 2015	480,220	13,242,560	278,006	22,965,618	6,690,639	43,657,043
At 31 December 2014	301,477	4,670,017	146,699	7,274,146	15,865,081	28,257,420
NET BOOK VALUE (COST BASIS)						
At 31 December 2015	127,775	11,290,647	124,327	9,462,909	6,533,249	27,538,907
At 31 December 2014	208,616	4,281,572	134,497	6,669,093	15,865,081	27,158,858

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Property, plant and equipment were last revalued on 31 December 2015, by Peter Huth, Registered Valuers and Estate Agents who are independent of the group. Land and buildings were valued on an open market value basis while plant and equipment were valued on a depreciated replacement cost basis.

The net revaluation gain was as follows:

	Sh'000
Surplus on revaluation recognized in other comprehensive income	15,209,076
Deficit on revaluation recognized in profit or loss	(23,419)
	15,185,657

Freehold land and buildings with a net book value of Sh 3,553,373,000 (2014 – Sh 1,465,878,000) have been charged to secure banking facilities granted to the company as disclosed in note 22.

Included above are assets with a total cost of Sh 49,582,000 (2014 – Sh 44,257,000) which were fully depreciated as at 31 December 2015. The normal depreciation charge would have been Sh 10,913,000 (2014 – Sh 9,547,000).

Details of the fair value hierarchy for both group's property plant and equipment carried at fair value as at 31 December 2015 are as follows:

	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	Total Sh'000
31 December 2015				
Freehold land	-	480,220	-	480,220
Buildings on leasehold land	-	13,098,464	-	13,098,464
Heavy commercial vehicles and Quarrying equipment	-	275,721	-	275,721
Plant and machinery	-	22,799,431	-	22,799,431
	-	36,653,836	-	36,653,836

31 December 2014

Freehold land	-	301,377	-	301,377
Buildings on leasehold land	-	2,638,354	-	2,638,354
Heavy commercial vehicles and Quarrying equipment	-	136,336	-	136,336
Plant and machinery	-	5,475,344	-	5,475,344
	-	8,551,411	-	8,551,411

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

13(b) PROPERTY, PLANT AND EQUIPMENT -COMPANY

	Freehold land Sh'000	Buildings on leasehold land Sh'000	Heavy commercial vehicles and quarrying equipment Sh'000	Computer, hardware, plant, machinery motor vehicles, furniture and fittings Sh'000	Capital work in progress Sh'000	Total Sh'000
Cost or valuation						
At 1 January 2014	298,089	2,936,659	234,845	5,687,153	1,857,170	11,013,916
Additions	3,388	91	5,303	22,266	555,056	586,104
Transfers	-	-	-	1,231,630	(1,231,630)	-
At 31 December 2014	301,477	2,936,750	240,148	6,941,049	1,180,596	11,600,020
At 1 January 2015	301,477	2,936,750	240,148	6,941,049	1,180,596	11,600,020
Additions	1,420	80,525	-	4,592	485,168	571,705
Reclassification	(80,841)	80,841	-	-	-	-
Revaluation adjustment	258,164	341,983	(47,816)	1,559,746	-	2,112,077
At 31 December 2015	480,220	3,440,099	192,332	8,505,387	1,665,764	14,283,802
Depreciation						
At 1 January 2014	-	224,980	74,651	1,164,178	-	1,463,809
Charge for the year	-	73,416	29,162	292,348	-	394,926
At 31 December 2014	-	298,396	103,813	1,456,526	-	1,858,735
At 1 January 2015	-	298,396	103,813	1,456,526	-	1,858,735
Charge for the year	-	73,411	23,661	353,874	-	450,946
Write back of depreciation on revaluation	-	(371,807)	(127,474)	(1,737,074)	-	(2,236,355)
At 31 December 2015	-	-	-	73,326	-	73,326
NET BOOK VALUE (REVALUATION BASIS)						
At 31 December 2015	480,220	3,440,099	192,332	8,432,061	1,665,764	14,210,476
At 31 December 2014	301,477	2,638,354	136,335	5,484,523	1,180,596	9,741,285
NET BOOK VALUE (COST BASIS)						
At 31 December 2015	127,775	2,451,526	109,452	4,732,037	1,665,764	9,086,554
At 31 December 2014	208,616	2,371,084	119,751	4,816,676	1,180,596	8,642,723

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Property, plant and equipment were last revalued on 31 December 2015, by Peter Huth, Registered Valuers and Estate Agents who are independent of the group. Land and buildings were valued on an open market value basis while plant and equipment were valued on a depreciated replacement cost basis.

Freehold land and buildings with a net book value of Sh (2014 – Sh 1,465,878,347) have been charged to secure banking facilities granted to the company as disclosed in note 21.

Details of the fair value hierarchy for both group's property plant and equipment carried at fair value as at 31 December 2015 are as follows:

31 December 2015	Level 1 Sh'000	Level 2 Sh'000	Level 3 Sh'000	Total Sh'000
Freehold land	-	480,220	-	480,220
Buildings on leasehold land	-	3,440,099	-	3,440,099
Heavy commercial vehicles and Quarrying equipment	-	192,332	-	192,332
Plant and machinery	-	8,432,061	-	8,432,061
	-	12,544,712	-	12,544,712

31 December 2014

Freehold land	-	301,377	-	301,377
Buildings on leasehold land	-	2,638,354	-	2,638,354
Heavy commercial vehicles and Quarrying equipment	-	136,336	-	136,336
Plant and machinery	-	5,475,344	-	5,475,344
	-	8,551,411	-	8,551,411

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

14 OPERATING LEASE PAYMENTS

	Group Sh'000	Company Sh'000
COST		
At 1 January 2014	149,664	2,707
Translation difference	1,995	-
At 31 December 2014	151,659	2,707
At 1 January 2015	151,659	2,707
Translation difference	5,938	-
At 31 December 2015	157,597	2,707
AMORTISATION		
At 1 January 2014	901	969
Charge for the year	367	67
At 31 December 2014	1,268	1,036
At 1 January 2015	1,268	1,036
Charge for the year	366	68
At 31 December 2015	1,634	1,104
NET BOOK VALUE		
At 31 December 2015	155,963	1,603
At 31 December 2014	150,391	1,671

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

15 INTANGIBLE ASSETS

	Group Sh'000	Company Sh'000
COST		
At 1 January 2014	219,639	24,251
Additions	34,123	277
Translation difference	431	-
At 31 December 2014	254,193	24,528
At 1 January 2015	254,193	24,528
Additions	28,885	507
Translation difference	(65,835)	-
At 31 December 2015	217,243	25,035
AMORTISATION		
At 1 January 2014	25,028	22,463
Charge for the year	1,236	1,194
Translation difference	(51)	-
At 31 December 2014	26,213	23,657
At 1 January 2015	26,213	23,657
Charge for the year	466	426
At 31 December 2015	26,679	24,083
NET BOOK VALUE		
At 31 December 2015	190,564	952
At 31 December 2014	227,980	871

16 GOODWILL

On 24 January 2009, ARM Cement Limited acquired all the shares held by the minority shareholders in ARM Tanzania Limited. On 1 December 2014, ARM Cement Limited acquired 35% equity interest in and also effectively acquired control of Kigali Cement Company Limited whose principal activity is to buy raw materials and to produce finished cement for the Rwanda market.

Goodwill arising from the above transactions is shown below:

	2015 Sh'000	2014 Sh'000
Balance at the beginning and end of the year	71,012	71,012
Allocation of goodwill to the acquired subsidiaries		
ARM Tanzania Limited	50,908	50,908
Kigali Cement Company Limited	20,104	20,104
	71,012	71,012

At the end of the reporting period, the Directors assessed the recoverable amount of goodwill and determined that the goodwill was not impaired. The recoverable amount of each cash generating unit was assessed by reference to value in use, including the value of the land and the rights over mineral deposits.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

17 (a) INVESTMENT IN SUBSIDIARIES

	2015 Sh'000	2014 Sh'000
ARM (Tanzania) Limited	252,317	252,317
Kigali Cement Company Limited	163,222	163,222
Mafeking Cement (Pty) Limited	75,000	75,000
ARM SA (Pty) Limited	33,014	33,014
Mavuno Fertilizer Limited	7,259	7,259
Maweni Limestone Limited	52	52
	530,864	530,864

Details of the subsidiary companies are as follows:

Company	Percentage holding	Country of incorporation and domicile	Principal activity
ARM (Tanzania) Limited	100%	Tanzania	Extraction and processing of limestone
ARMSA (Pty) Limited	100%	South Africa	Manufacture of silicate liquid
Mavuno Fertilizer Limited	100%	Kenya	Manufacture of fertiliser
Maweni Limestone Limited	100%	Tanzania	Manufacture of Cement
Mafeking Cement (Pty) Limited	70%	South Africa	Not yet operational
Kigali Cement Company Limited	100%	Rwanda	Manufacture of Cement
ARM Rwanda Limited	100%	Rwanda	Not operational
ARM Africa Cement (MAU) Limited	100%	Mauritius	Not operational
ARM Rhino Cement Limited	100%	Mauritius	Not operational
Sukam Development Company Limited	100%	Kenya	Not operational
ARM Energy Ltd	100%	Kenya	Not operational
ARM Minerals & Chemicals Ltd	100%	Kenya	Not operational
ARM Zambia Ltd	100%	Zambia	Not operational

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

In 2014, ARM Cement Limited acquired 100% equity interest in Kigali Cement Company Limited, whose principal activity is to buy raw materials and to produce finished cement for the Rwanda market and export.

ARM Cement Limited also holds 100% of the equity interest in other companies which are all dormant. These are ARM Zambia Limited, ARM Energy Limited, ARM Mineral and Chemical Limited, Sukam Development Company Limited. These companies, together with ARM Africa Cement (Mau) Limited, ARM Rhino Cement Limited as shown above, have not yet commenced operations and have not been consolidated in view of the insignificance of the amounts involved.

(b)NON-CONTROLLING INTEREST

The total non-controlling interest for the period is Sh 5,171,000 (2014: Sh 2,490,000), which is attributable to Mafeking Cement (Pty) Limited, which is not material for the group.

	2015 Sh'000	2014 Sh'000
Balance at beginning of the year	2,490	99,692
Share of the income for the year	698	512
Share of other comprehensive income/(loss) for the year	1,983	(97,714)
Balance at end of the year	5,171	2,490

18 INVENTORIES	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
Raw materials	2,047,206	2,076,117	1,233,522	1,305,835
Finished goods	372,566	362,942	309,185	256,244
Packaging materials	117,928	125,875	66,617	85,979
Stores, spares, laboratory inventories and fuel	1,318,364	1,544,499	925,287	840,836
Work in progress	98,272	1,035	1,035	1,035
Goods in transit	19,618	-	-	-
Provision for obsolescence	(106,605)	(74,327)	(106,605)	(74,327)
	3,867,349	4,036,141	2,429,041	2,415,602

Provision for obsolescence amounting to Sh 32,278,000 (2014: Sh 17,073,000) has been recognised in respect of inventory during the year.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

19 TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
Trade receivables (net)	3,370,489	1,968,679	2,435,866	1,731,929
Other receivables and pre-payments	165,150	1,777,023	33,729	108,317
	3,535,639	3,745,702	2,469,595	1,840,246

20 DUE FROM EMPLOYEE SHARE OPTION PLAN (ESOP) - LOAN AND RECEIVABLE

In 2005, the Company established an Employee Share Ownership Plan (ESOP) for purposes of encouraging employees to own shares in the Company. This is a separate trustee administered plan operating within the ESOP rules as contained in the plan's Trust Deed.

The amount due from ESOP is accounted for as a loan and receivable financial instrument. At each reporting period end, the Group reviews the outstanding balance from the ESOP to determine whether the receivable is impaired. Any impairment loss is recognised through profit or loss in the year in which it arises. The movement in the ESOP receivable balance during the year is as shown below;

	GROUP & COMPANY	
	2015 Sh'000	2014 Sh'000
Amount due from ESOP		
At 1 January	57,471	20,586
Dividends	(11,648)	(13,000)
Payment of dividends	10,904	49,885
Sale/transfer of shares	2,040	-
At 31 December	58,767	57,471

21 SHARE CAPITAL

	GROUP & COMPANY	
	2015 Sh'000	2014 Sh'000
Authorised:		
675,000,000 ordinary shares of Sh 1 each	675,000	675,000
Issued and fully paid:		
495,275,000 fully paid ordinary shares of Sh 1 each	495,275	495,275

At the 2008 Annual General Meeting held on 9 June 2008, the shareholders authorised Directors;

- to exercise borrowing powers of the Company to borrow money or raise capital or other finance (in any currency) for the purpose of facilitating the expansion of the Company's operations and to create and issue unsecured convertible bonds or notes to any person lending such money or granting such capital or finance and;
- in their sole discretion and as they deem fit and at such premium as they may determine (but subject to such regulatory and other authorisations, consents, filings and approvals as required by law), to allot and issue by way of private transaction or offer up to a maximum of 25,000,000 ordinary shares of Kenya shillings Five (Sh 5.00) each in the Capital of the Company, credited as fully paid and ranking pari passu in all respects with the existing ordinary shares of Kenya Shillings Five (Sh 5.00) each by way of redemption and in exchange for such convertible bonds or notes.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

22. (a) BORROWINGS – GROUP

	2015 Sh'000	2014 Sh'000
Bank loans	18,533,594	14,319,731
Aureos income note	1,418,173	1,810,000
Equity linked notes*	-	1,600,000
Corporate bond	840,214	-
Bank overdrafts	3,589,276	3,142,388
Total	24,381,257	20,872,119

The borrowings are repayable as follows:

On demand or within one year	15,432,330	13,216,334
After 1 year but within 5 years	8,948,927	6,650,832
After 5 years	-	1,004,953
Total	24,381,257	20,872,119
Less: amount due for settlement within one year	(15,432,330)	(13,216,336)
Amount due for settlement after one year	8,948,927	7,655,783

Analysis of borrowings by currency

	Borrowings in US\$'000	Kshs Equivalent Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
2015				
Bank loans	114,881	11,752,356	6,781,238	18,533,594
Bank overdrafts	26,766	2,738,234	851,042	3,589,276
Aureos income note	13,863	1,418,173	-	1,418,173
Corporate bond	-	-	840,214	840,214
At 31 December 2015	155,510	15,908,763	8,472,494	24,381,257
2014				
Bank loans	115,504	10,453,115	3,866,616	14,319,731
Bank overdrafts	16,751	1,515,974	1,626,414	3,142,388
Aureos income note	20,000	1,810,000	-	1,810,000
Equity linked notes*	-	-	1,600,000	1,600,000
At 31 December 2015	152,255	13,779,089	7,093,030	20,872,119

*The equity linked notes were raised by way of private placement. These were unsecured notes that had a coupon rate of 12% with an equity upside on maturity of up to 1.2% depending on ARM Cement Limited's share price performance on the Nairobi Securities Exchange. The notes were redeemed in full on 20 April 2015.

The borrowing costs capitalized in relation to construction and installation of qualifying assets during the year amount to Sh nil (2014 – Sh 140,441,000).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

22 (a) BORROWINGS - GROUP *(Continued)*

The average interest rates incurred on the borrowings during the year were as follows:

	2015 %	2014 %
Bank overdrafts (Sh)	16.00	13.50
Bank overdrafts (US \$)	5.50	4.50
Bank loans (Sh)	18.00	13.00
Bank loans (US \$)	7.00	6.50
Equity linked notes (Sh)	12.00	12.00

(b) BORROWINGS - COMPANY

	2015 Sh '000	2014 Sh '000
Bank loans	15,981,108	11,335,198
Bank overdrafts	2,041,926	1,807,966
Aureos income note	1,418,173	1,810,000
Equity linked notes	-	1,600,000
Corporate bond	840,214	-
	20,281,421	16,553,164

The borrowings are repayable as follows:

On demand or within one year	13,884,980	10,747,470
After 1 year and within 5 years	6,396,441	4,900,694
After 5 years	-	905,000
Total	20,281,421	16,553,164

Less: amount due for settlement within one year	(13,884,980)	(10,747,470)
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Amount due for settlement after one year	6,396,441	5,805,694
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Analysis of borrowings by currency

	Borrowings in US\$ '000	Kshs equivalent Sh'000	Borrowings in local currency Sh'000	Total borrowings Sh'000
2015				
Bank loans	90,322	9,239,941	6,741,167	15,981,108
Bank overdrafts	14,214	1,454,140	587,786	2,041,926
Aureos income note	13,863	1,418,173	-	1,418,173
Corporate bond	-	-	840,214	840,214
At 31 December 2015	118,399	12,112,254	8,169,167	20,281,421
2014				
Bank loans	85,403	7,728,998	3,606,200	11,335,198
Bank overdrafts	16,751	1,515,974	291,992	1,807,966
Aureos income note	20,000	1,810,000	-	1,810,000
Equity linked notes	-	-	1,600,000	1,600,000
At 31 December 2014	122,154	11,054,972	5,498,192	16,553,164

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

The average interest rates incurred on the borrowings during the year were as follows:

	2015 %	2014 %
Bank overdrafts (Sh)	16.00	13.50
Bank overdrafts (US \$)	5.50	4.50
Bank loans (Sh)	18.00	13.00
Bank loans (US \$)	7.00	-
Equity linked notes (Sh)	12.00	12.00

(c) BORROWINGS ANALYSED BY LENDING INSTITUTIONS

	2015 Sh'000	2014 Sh'000
(i) ARM Cement Limited		
Loans		
CfC Stanbic Bank Kenya Limited	3,195,770	1,128,774
Citibank NA	-	106,471
African Finance Corporation (AFC) *	5,579,586	4,793,086
GTA Bank Kenya Limited	87,872	348,875
Bank of Africa Kenya Limited	-	178,780
I&M Bank Kenya Limited	464,633	905,000
Chase Bank Kenya Limited	-	368,011
Victoria Commercial Bank	170,755	-
Bank overdrafts		
Barclays Bank of Kenya Ltd	206,299	184,472
CfC Stanbic Bank Kenya Limited	816,496	709,503
Guaranty Trust Bank Limited	225,004	225,487
Citibank NA	510,668	440,420
Bank of Africa Limited	253,460	248,085
Other borrowings		
Commercial paper	6,482,492	3,506,200
Equity linked note	-	1,600,000
AUREOS – Convertible Note	1,418,173	1,810,000
Corporate bond	870,213	-
	20,281,421	16,553,164
(ii) Maweni Limestone Limited		
Loans		
Eastern and Southern African Trade and Development Bank (PTA Bank)	819,210	926,307
Development Bank of South Africa Limited	1,379,368	1,506,023
Stanbic Bank Mauritius	318,837	452,253
Bank overdraft		
Stanbic Bank Limited	1,547,262	1,334,419
	4,059,677	4,219,002
(iii) ARM (Rwanda) Limited		
Banque Commerciale Du Rwanda Ltd - loan	40,159	53,711

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

(c) BORROWINGS ANALYSED BY LENDING INSTITUTIONS (Continued)

	2015 Sh'000	2014 Sh'000
(iv) Kigali Cement Company Limited - loans		
Bizimungu Jean Berchmans	-	46,242

As at 31 December 2015, the company had outstanding letters of credit amounting to Sh 1,073,687,000 (2014 – Sh 488,205,673).

* African Finance Corporation (AFC) facility

At an Annual General Meeting held on 12 June 2007, the shareholders approved and authorised the directors to raise new funding through a convertible debt. The offer to Africa Finance Corporation was approved by the regulatory authorities.

In 2012 the Company issued to Africa Finance Corporation 50 convertible notes of USD 1,000,000 each for a tenure of 6 years at an annual interest of 5% payable quarterly plus 2.5% interest accrued every quarter and payable on maturity.

The notes are redeemable at a premium of 10% on maturity or the holder may convert the notes into new ordinary shares at a fixed rate of \$0.64 per share any time during the six year tenor.

During the year ended 31 December 2015, the company capitalised interest amounting to USD 1,350,794 (2014: USD 1,311,834) being total interest charged in the year which brought the total amount owed to the African Finance Corporation to USD 54,313,067 (2014: USD 52,962,274).

(d) DETAILS OF SECURITIES

The general short term borrowings, letters of credit and foreign currency facilities with CFC Stanbic Bank Limited are secured by a first ranking debenture over all the company's assets for Sh 225,000,000 and USD 19,134,000 together with a first legal charge for Sh 225,000,000 and USD 19,134,000 over the company's freehold and leasehold properties ranking pari passu with the legal charges in favour of other lenders, Barclays Bank of Kenya Limited, Citibank NA and Bank of Africa Kenya Limited.

The overdraft facility and letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture stamped for Sh 120,000,000 over all the assets of the company. The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties for Sh 264,000,000 and a debenture of Sh 264,000,000 over all the assets of the Group.

ARM Cement Limited is a guarantor to Maweni Limestone Limited's obligations to Eastern and Southern African Trade and Development Bank, Development Bank of Southern Africa Limited and East African Development Bank under facilities agreements amounting to US \$ 50,000,000.

The Aureos income note is unsecured and matures in 2015.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

23 DEFERRED TAXATION

Deferred income tax is calculated on all temporary differences under the liability method using the currently enacted tax rate of 30% for Kenya, Tanzania and Rwanda and 29% for South Africa.

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
The net deferred taxation liability is attributable to the following items:				
Liabilities:				
Accelerated capital allowances	2,781,854	1,937,362	1,742,559	1,746,153
Revaluation surplus on property plant and equipment	4,901,491	480,935	1,643,298	480,935
Unrealised exchange gains	34,991	-	-	-
	7,718,336	2,418,297	3,385,857	2,227,088
Assets:				
Leave pay provision	(2,243)	(3,124)	(2,243)	(3,124)
Unrealised exchange losses	(1,014,532)	(34,426)	(240,631)	(27,990)
Inventory impairment provision	(31,981)	(22,298)	(31,981)	(22,298)
General bad debt provision	(40,417)	(13,200)	(37,866)	(13,200)
Tax losses	(839,921)	-	-	-
Exchange difference	-	145	-	-
	(1,929,094)	(72,903)	(312,721)	(66,612)
Net deferred tax liability	5,789,242	2,345,394	3,073,136	2,160,476
The movement on the deferred taxation account is as follows:				
At 1 January	2,345,394	2,234,048	2,160,476	2,128,728
Income statement (credit)/charge (note 9(a))				
- current year (credit)/charge	(1,011,461)	114,817	(305,173)	33,826
- prior year over/(under) provision	(20,034)	(2,078)	(22,155)	(2,078)
Revaluation surplus – property, plant and equipment	4,498,181	-	1,239,988	-
Exchange adjustment	(22,838)	(1,393)	-	-
At 31 December	5,789,242	2,345,394	3,073,136	2,160,476
Comprising of				
Deferred tax asset	(93,825)	-	-	-
Deferred tax liability	5,883,067	2,345,394	3,073,136	2,160,476
	5,789,242	2,345,394	3,073,136	2,160,476

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
24 TRADE AND OTHER PAYABLES				
Trade payables	4,178,964	3,312,951	2,731,693	1,058,721
Other payables and accruals	530,610	605,585	168,080	251,294
Leave pay provision	7,477	10,416	7,477	10,416
	4,717,051	3,928,952	2,907,250	1,320,431

25 NOTES TO THE CONSOLIDATED CASH FLOW

	2015 Sh'000	2014 Sh'000
(a) Reconciliation of (loss)/profit before taxation to cash generated from operations		
(Loss)/profit before taxation	(3,539,156)	2,018,133
Adjustments:		
Depreciation of property, plant and equipment (note 13(a))	877,043	639,218
Amortisation of operating lease prepayments (note 14)	366	367
Amortisation of intangible assets (note 15)	466	1,236
Finance cost recognised in profit before taxation (note 5)	2,309,992	191,876
Finance income recognised in profit before taxation (note 6)	(4,519)	(365,221)
Net unrealised foreign exchange on borrowings (note 25(c))	1,600,116	(12,855)
Loss on revaluation of property, plant and equipment	23,419	-
Gain on disposal of property, plant and equipment	-	(20)
Working capital changes:		
Decrease/(increase) in inventories	168,792	(1,506,146)
Increase in trade and other receivables	210,063	(961,486)
Movement in related party balances	(109,227)	(57,562)
Increase in trade and other payables	788,099	1,529,268
(Increase)/decrease in due from ESOP	(1,296)	36,885
Cash generated from operations	2,324,158	1,513,673
(b) Analysis of additions to property, plant and equipment		
Additions in the year (note 13(a))	2,947,710	6,997,704
Less: Interest capitalised (note 5)	-	(140,441)
Acquisition in cash	2,947,710	6,857,263

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	2015 Sh'000	2014 Sh'000
(c) Analysis of cash flow by borrowings		
At 1 January	17,729,731	12,882,145
Received during the year	10,688,686	5,949,441
Repayment during the year	(9,658,286)	(1,089,000)
Accrued interest	431,734	-
Unrealised exchange	1,600,116	(12,855)
At 31 December	20,791,981	17,729,731

	2015 Sh'000	2014 Sh'000
(d) Analysis of cash and cash equivalents		
Cash and bank balances	206,493	127,768
Bank overdrafts (note 22(a))	(3,589,276)	(3,142,388)
Short-term deposits	-	278,988
	(3,382,783)	(2,735,632)

The effective interest rate on the deposits as at 31 December 2015 was 3.5% (2014 – 3.5%).

	2015 Sh'000	2014 Sh'000
(e) Analysis of cash interest paid		
Interest included in the cost of qualifying assets (note 5)	-	140,441
Interest charged to profit or loss (note 5)	2,309,992	191,876
Less: Accrued interest (note 25(c))	(431,734)	-
	1,878,258	332,317

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

26 RELATED PARTY TRANSACTIONS AND BALANCES

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Related parties also include the management personnel, their associates and close family members.

In the normal course of business, transactions are conducted with related parties at terms and conditions similar to those offered to other customers. Transactions with related parties during the year and related party outstanding balances as at the year-end are disclosed below;

	2015 Sh'000	2014 Sh'000
(a) Transactions		
Sales:		
ARM (Tanzania) Limited	27,068	-
Maweni Limestone Limited	-	49,467
Kigali Cement Company Limited	146,139	205,806
	<u>173,207</u>	<u>255,273</u>
The outstanding balances arising from sale and purchase of goods and services between the company and its related parties are as shown below:		
The due from related parties balances are unsecured, interest free and have no fixed repayment period.		
(b) Due from related parties – Group		
Rhino Special Products Limited	80,155	3,618
ARM Rhino Cement Limited	7,517	6,486
ARM Africa Cement (MAU) Limited	6,309	5,279
Royal Ceiling Limited	2,051	1,795
	<u>96,032</u>	<u>17,178</u>
(c) Due from related parties – company		
Maweni Limestone Limited	17,564,683	13,598,048
ARM (Tanzania) Limited	587,431	502,814
Kigali Cement Company Limited	354,924	260,046
Mafeking Cement Company Limited	229,763	303,412
ARMSA (Pty) Limited	52,859	73,765
Rhino Special Products Limited	79,997	3,388
ARM Rhino Cement Limited	7,517	6,486
ARM Africa Cement (MAU) Limited	6,309	5,279
Royal Ceiling Limited	2,051	1,795
	<u>18,885,534</u>	<u>14,755,033</u>
(d) Due to related parties – Group		
Due to Directors	81,872	114,150
Rhino Special Products Limited	3,292	3,637
Chiromo Properties Limited	2,250	-
	<u>87,414</u>	<u>117,787</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	2015 Sh'000	2014 Sh'000
(e) Due to related parties – company		
Maweni Limestone Limited	203,215	-
Due to Directors	81,872	109,819
ARM (Rwanda) Limited	39,915	20,631
ARM (Tanzania) Limited	26,439	-
Chiromo Properties Limited	2,250	-
ARMSA (Pty) Limited	1,888	-
	355,579	130,450
(f) Key management compensation:		
Salaries and other benefits	236,442	218,650
(g) Directors' remuneration		
Fees for services as Directors (non-executive)	8,293	8,055
Other emoluments (included in key management compensation)	175,267	154,340
	183,560	162,395

27 OPERATING LEASE COMMITMENTS

The company as a lessee:

Rental payments during the year amounted to Sh 12,744,000 (2014 – Sh 12,651,000). At the balance sheet date, the company had contracted for the following future lease payables:

	2015 Sh'000	2014 Sh'000
Within one year	94,325	82,229
In the second to fifth year inclusive	198,542	287,436
	292,867	369,665

Leases are negotiated for an average term of five years and rentals are reviewed as per the provisions of the lease agreements. The leases are not cancellable unless one is in breach of the conditions provided for in the lease agreements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
28 CAPITAL COMMITMENTS				
Authorised and contracted for	1,288,178	905,050	1,288,178	905,050
Authorised but not contracted for	920,700	935,299	-	649,850
29 CONTINGENT LIABILITIES				
Guarantees	174,948	20,000	174,948	20,000

30 FINANCIAL RISK MANAGEMENT

The Group's activities expose it to a variety of financial risks including credit, liquidity and market risks which mainly comprise effects of changes in foreign currency and interest rates risk. The Group's overall risk management programme focuses on unpredictability of changes in the business environment and seeks to minimise the potential adverse effect of such risks on its performance by setting acceptable levels of risk.

Risk management is carried out by the Group's senior management under policies approved by the Board of Directors. Senior management identify, evaluate and where possible hedge financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas.

The Group has policies in place to ensure that sales are made to customers with an appropriate credit history. There has been no change to the Group's exposure to market risks or the manner in which it manages and measures the risk from the prior year.

Market risk

(i) Foreign currency exchange risk

The Group is exposed to foreign currency exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign currency exchange risk arises from future commercial transactions, recognised assets and liabilities. Monetary assets and liabilities held in foreign currencies are closely monitored to ensure that the risk of being materially affected by adverse foreign currency fluctuations is effectively managed and minimised.

The Group has a natural hedge of its foreign exchange risk on foreign currency denominated borrowings by matching commitments on dollar borrowings obligations with dollar denominated sales receipts.

At 31 December 2015, if the Kenya Shilling had weakened/strengthened by 5% against the US dollar with all other variables held constant, the pre-tax profit for the year would have been Sh 686,985,000 (2014: Sh 3,745,000) higher/lower, mainly as a result of translation of US dollar payables, loans, receivables and bank balances.

(ii) Interest rate risk

The Group is exposed to interest rate risk as it borrows funds both at fixed and floating interest rates. The risk is managed by the Group through a close management monitoring control. During the year, an increase/decrease of 5 percentage points on average borrowing rates would have resulted in an increase/decrease in pretax profit by Sh 114,744,000 (2014 - Sh 23,567,000).

Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the Group. The Group has adopted a policy of only dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults. The Group's exposure and the credit rating of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the management annually.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

Trade receivables consist of a large number of customers, spread across diverse geographical areas. On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

The Group does not have any significant credit risk exposure to any single counterparty or any Group of counterparties having similar characteristics. The Group defines counterparties as having similar characteristics if they are related entities. Concentration of credit risk did not exceed 5% of gross monetary assets at any time during the year.

The carrying amount of financial assets carried in the financial statements representing the Group's maximum exposure to credit risk without taking account of the value of any collateral obtained is as follows:

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000	Total Sh'000
At 31 December 2015				
Trade receivables	3,237,825	265,328	(132,664)	3,370,489
Due from related parties	96,032	-	-	96,032
Bank balances	206,493	-	-	206,493
	3,540,350	265,328	(132,664)	3,673,014

The amount that best represents the Group's maximum exposure to credit risk as at 31 December 2014 is made up as follows:

	Fully performing	Past due	Impaired	Total
At 31 December 2014				
Trade receivables	1,941,335	27,344	(51,138)	1,968,679
Due from related parties	17,178	-	-	17,178
Investments in short term deposits	278,988	-	-	278,988
Bank balances	122,512	-	-	122,512
	2,360,013	27,344	(51,138)	2,387,357

The customers under the fully performing category are paying their debts as they continue trading. The default rate is low.

The debt that is overdue is not impaired and continues to be paid.

The debt that is impaired has been fully provided for. However, the finance department are following up on the impaired debt.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the Group's short, medium and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at the balance sheet date to the contractual maturity date.

The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying amounts, as the impact of discounting is not significant.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

	Less than 1 month Sh'000	Between 1 – 3 months Sh'000	Between 3 – 12 months Sh'000	Over 12 months Sh'000	Total Sh'000
At 31 December 2015					
Assets					
Trade receivables	633,038	1,880,867	723,920	132,664	3,370,489
Due from related parties	-	-	-	96,032	96,032
Bank balances	206,493	-	-	-	206,493
	839,531	1,880,867	723,920	228,696	3,673,014
At 31 December 2015					
Liabilities					
Borrowings	1,548,375	3,096,729	10,787,226	8,948,927	24,381,257
Trade payables	742,906	2,586,506	849,552	-	4,178,964
Due to related parties	-	-	-	87,414	87,414
	2,291,281	5,683,235	11,636,778	9,036,341	28,647,635
Net liquidity gap	(1,451,750)	(3,802,368)	(10,912,858)	(8,807,645)	(24,974,621)
At 31 December 2014					
Assets					
Trade receivables	313,723	1,296,192	358,764	-	1,968,679
Due from related parties	-	-	-	17,178	17,178
Investments in short term deposits	-	278,988	-	-	278,988
Bank balances	122,512	-	-	-	122,512
	436,235	1,575,180	358,764	17,178	2,387,357
At 31 December 2014					
Liabilities					
Borrowings	53,629	1,302,878	11,859,829	7,655,783	20,872,119
Trade payables	527,943	2,181,270	603,738	-	3,312,951
Due to related parties	-	-	117,787	-	117,787
	581,572	3,484,148	12,581,354	7,655,783	24,302,857
Net liquidity gap	(145,337)	(1,908,968)	(12,222,590)	(7,638,605)	(21,915,500)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2015

31 CAPITAL RISK MANAGEMENT

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the Group consists of debt, which includes the borrowings, cash and cash equivalents and equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings and other services.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

Details of the Group's capital and gearing ratio are provided below;

	GROUP		COMPANY	
	2015 Sh'000	2014 Sh'000	2015 Sh'000	2014 Sh'000
Share capital	495,275	495,275	495,275	495,275
Share premium	302,027	302,027	302,027	302,027
Revaluation surplus	11,082,676	617,627	3,480,225	617,627
Retained earnings	5,014,111	7,956,969	7,775,872	7,796,379
Translation reserve	(53,492)	46,419	-	-
Equity	16,840,597	9,418,317	12,053,399	9,211,308
Total borrowings including finance lease	24,381,257	20,872,119	20,281,421	16,553,164
Less: cash and cash equivalents	(206,493)	(406,756)	(88,539)	(297,990)
Net debt	24,174,764	20,465,363	20,192,882	16,255,174
Total capital	41,015,361	29,883,680	32,246,281	25,466,482
Gearing	59%	68%	37%	64%

32 INCORPORATION

The company is domiciled and incorporated in Kenya under the Kenyan Companies Act, Cap 486.

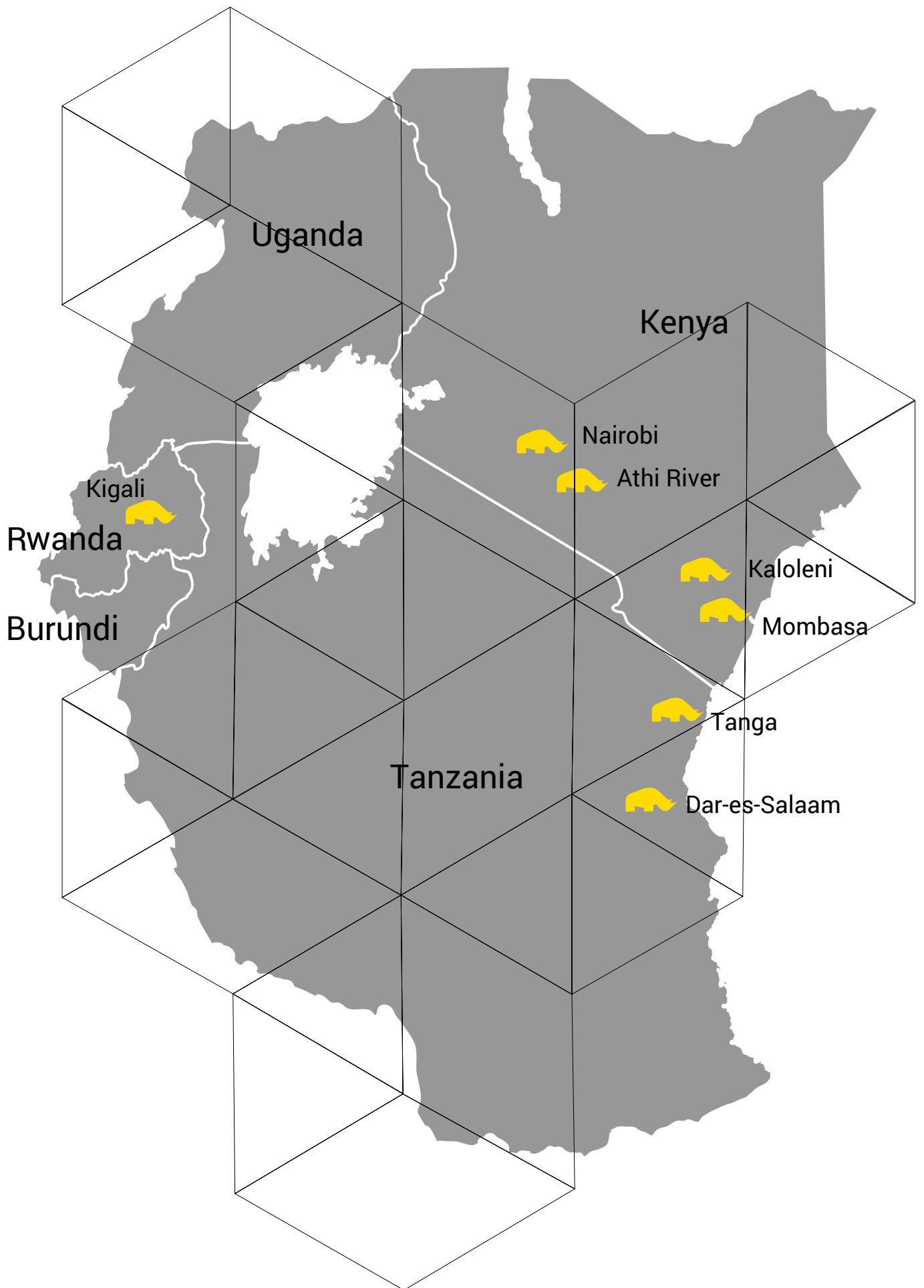
33 CURRENCY

The financial statements are presented in thousands of Kenya Shillings (Sh'000).

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